ONEWAY FX

Reading the Story Behind Price Action

Volume II — Combining Candlesticks with Market Structure, Confirmation, and Probability

Education Series • Volume II

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IMPORTANT NOTICE

Risk Disclosure

This is Volume II of the OneWay FX Education Series, published for educational purposes only. It builds on Volume I and introduces market structure, support and resistance, confirmation, advanced candlestick patterns, and a repeatable strategy framework. Nothing in this book is financial advice, a recommendation to trade, or a guarantee of any outcome.

Please read before continuing

- HFX and binary options trading carries a very high level of risk and is not suitable for every investor — it is possible to lose some, or all, of your invested capital.
- Every case study in Chapter 11 is an illustrative teaching example, not a real historical chart or an actual trade. No pattern, framework, or checklist in this book works every time.
- Concepts like liquidity, order blocks, and Fair Value Gaps are widely used in modern trading education, but remain debated in how precisely predictive they are — treat them as one more tool, not a guarantee.
- Never trade with money you cannot afford to lose. Use proper risk management, and confirm the products available to you are permitted in your jurisdiction.

CONTENTS

Table of Contents

Introduction

How This Volume Builds on Volume I

Part I — Structure & Levels

Chapter 1 — Understanding Market Structure (12 lessons)

Chapter 2 — Support & Resistance (8 lessons)

Part II — Psychology & Confirmation

Chapter 3 — Candlestick Psychology (14 patterns revisited)

Chapter 4 — Candlestick Confirmation (6 lessons)

Part III — Advanced Patterns & Reliability

Chapter 5 — 12 Advanced Candlestick Patterns

Chapter 6 — Candlestick Pattern Reliability

Chapter 7 — Candlestick Pattern Combinations

Chapter 8 — Fake Candlestick Signals (8 lessons)

Part IV — Execution & Mastery

Chapter 9 — Candlesticks on Different Timeframes

Chapter 10 — The OneWay FX Candlestick Strategy

Chapter 11 — Trade Case Studies (12 illustrative examples)

Chapter 12 — Candlestick Trading Rules

Reference

Glossary of Terms (75 intermediate concepts)

Closing Note from OneWay FX

INTRODUCTION

How This Volume Builds on Volume I

Volume I taught you to read a single candle and recognize the patterns candles form. That's the vocabulary. This volume teaches the grammar — how to combine that vocabulary with market context, structure, and probability so it actually says something useful about what to do next.

Twelve chapters make up this book. The first two give you the map — market structure and support/resistance — that every pattern needs in order to mean anything. The middle chapters deepen your understanding of candlesticks themselves: the psychology behind them, how to confirm them, twelve advanced patterns beyond Volume I's fourteen, and an honest look at which patterns actually deserve your trust. The final chapters turn all of it into something usable — a strategy checklist, illustrative case studies, and a short list of rules you can actually remember under pressure.

Read this volume in order. Each chapter assumes you've absorbed the ones before it, and the later chapters reference earlier ones by name.

01 CHAPTER 1

Understanding Market Structure

Before you ever look for a candlestick pattern, you need to know one thing: which direction is the market already leaning? A perfect Bullish Engulfing Bar means very different things in an uptrend, a downtrend, and a dead-flat range. Market structure is the skeleton underneath every chart — it's what tells you whether you're looking for reasons to buy, reasons to sell, or reasons to stay out entirely.

What Is Market Structure?

Market structure is simply the shape price leaves behind as it moves — the sequence of swing highs (points where price turned down) and swing lows (points where price turned up). Connect those turning points and you get a zigzag that tells you, at a glance, whether buyers or sellers have been winning.

Everything in this chapter — trends, ranges, reversals, BOS, CHoCH — is just a different way of describing the relationship between one swing point and the next.

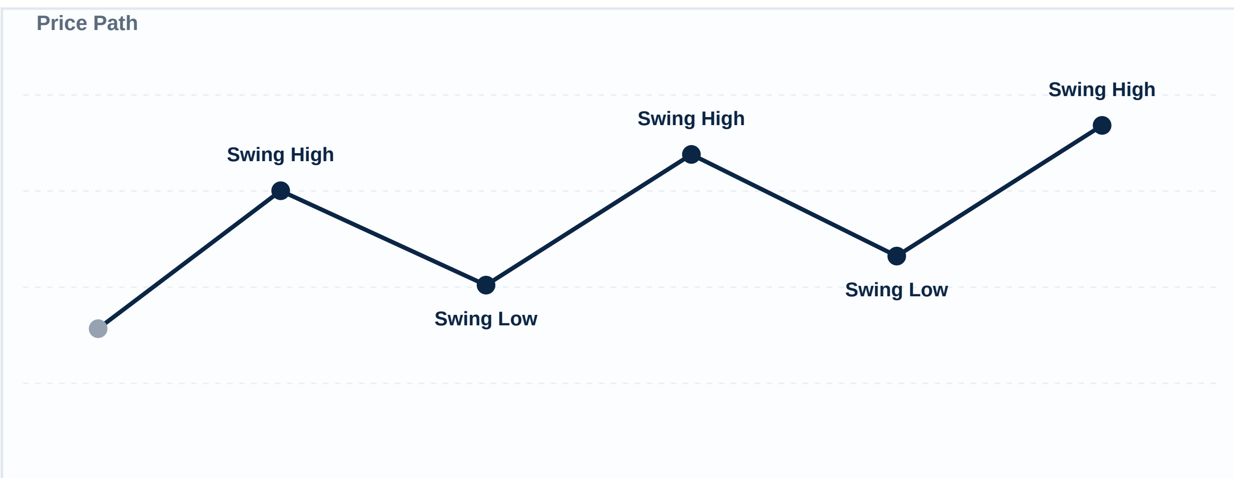


Figure — Every chart is just a sequence of swing highs and swing lows.

Higher Highs (HH)

A Higher High forms when a new swing high prints above the previous swing high. It's the clearest sign that buyers are extending their control — each rally is making more ground than the last one.

Figure — The second peak prints above the first: a Higher High.

Higher Lows (HL)

A Higher Low forms when a new swing low prints above the previous swing low — sellers can no longer push price back down as far as they did last time. Higher Highs and Higher Lows together are what define an uptrend; you need both, not just one.

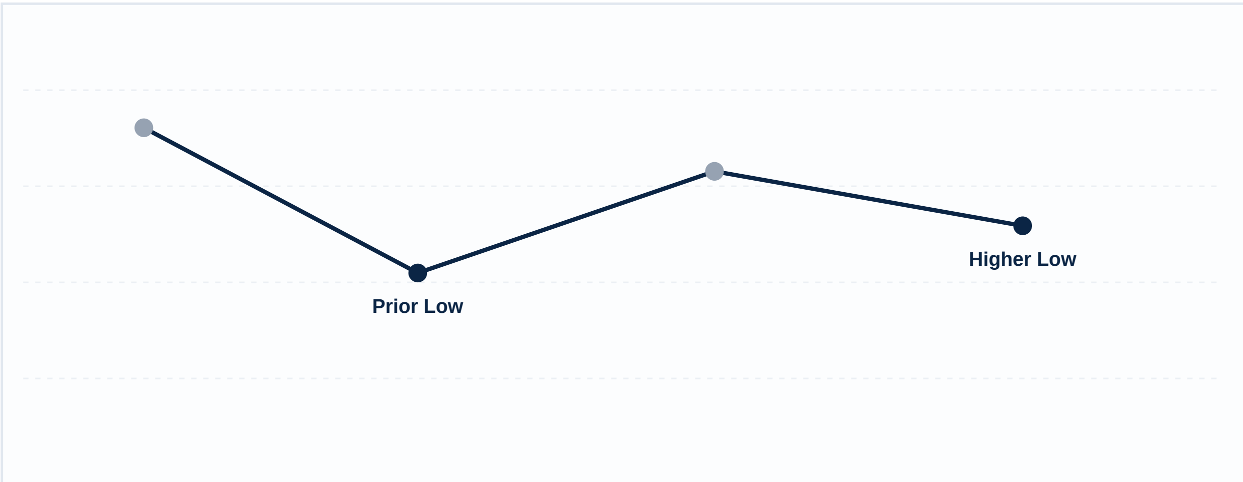


Figure — The second dip holds above the first: a Higher Low.

Lower Highs (LH)

A Lower High forms when a new swing high fails to reach the previous swing high. It's usually the first visible crack in an uptrend — buyers pushed, but with noticeably less force than before.

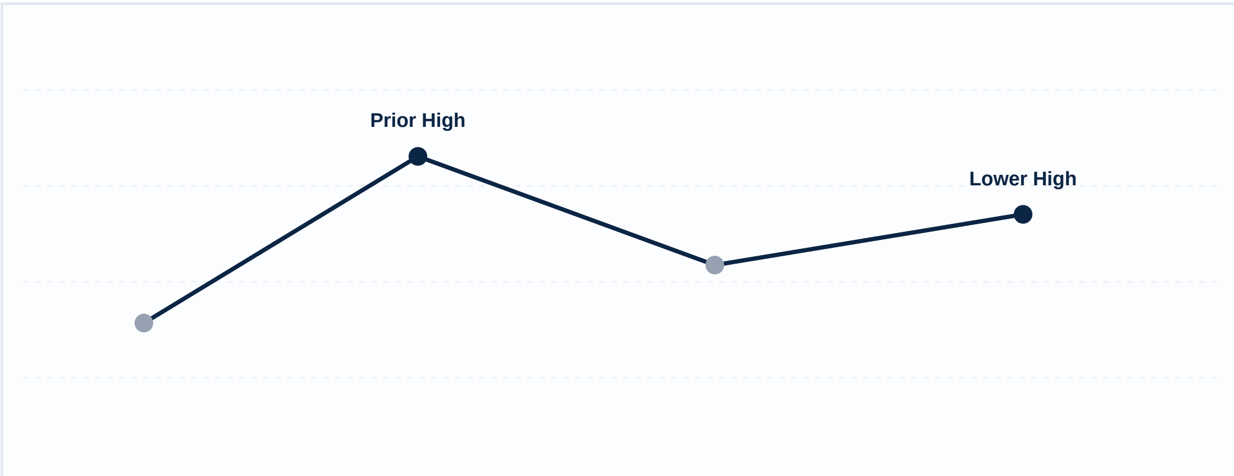


Figure — The second peak falls below the first: a Lower High.

Lower Lows (LL)

A Lower Low forms when a new swing low prints below the previous swing low — sellers are extending their control. Lower Highs and Lower Lows together are what define a downtrend.

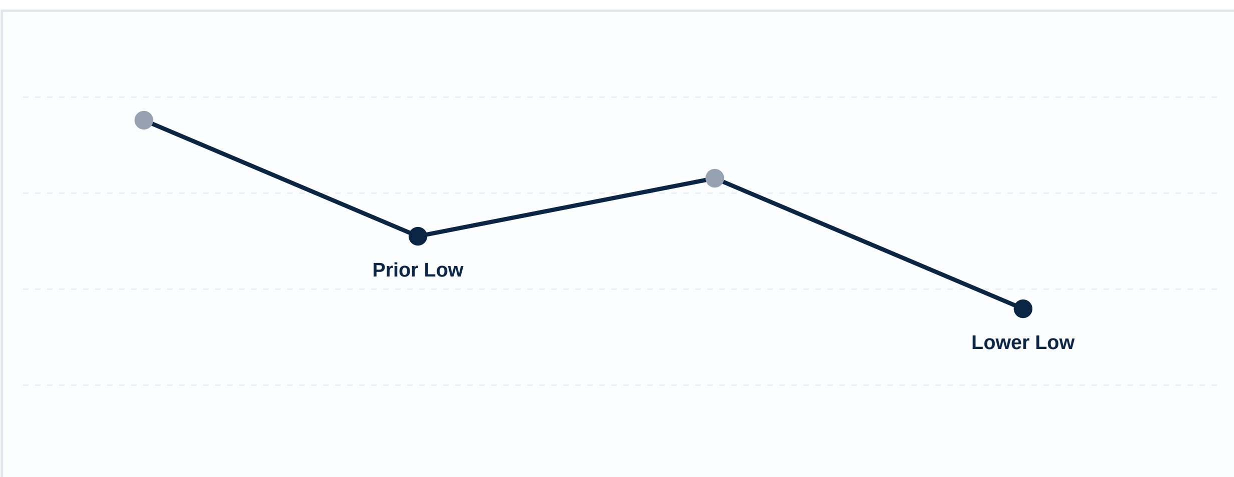


Figure — The second dip breaks below the first: a Lower Low.

Uptrends

An uptrend is nothing more than a repeating pattern of Higher Highs and Higher Lows. As long as that pattern keeps repeating, the trend is intact — your job as a trader is to look for bullish candlestick signals at the Higher Low, not to guess when the next high will form.

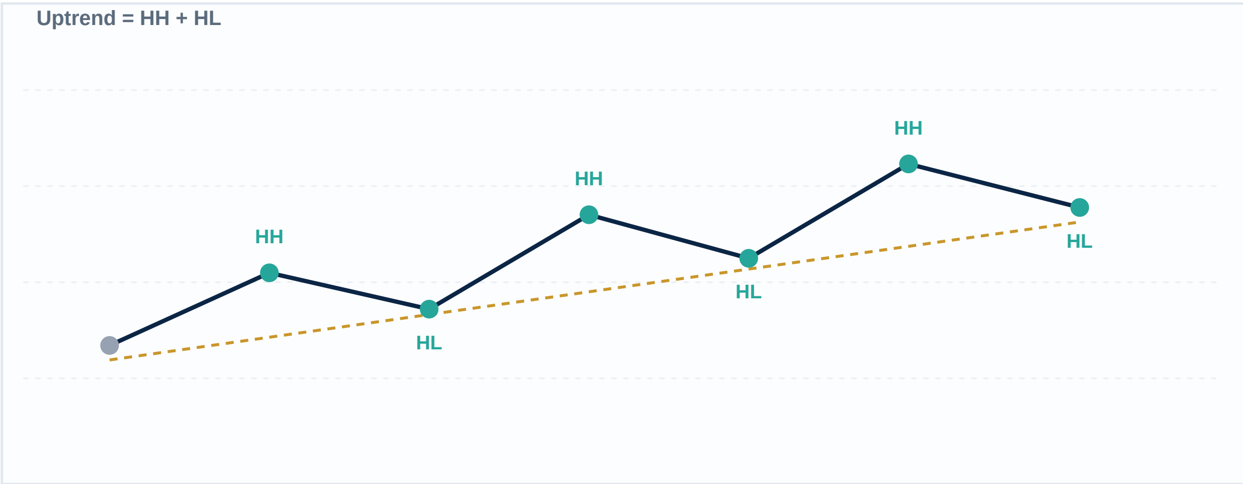


Figure — A rising sequence of Higher Highs and Higher Lows.

Downtrends

A downtrend is a repeating pattern of Lower Highs and Lower Lows — the mirror image of an uptrend. Here, your job is to look for bearish candlestick signals at the Lower High, not at the bottom of the move.

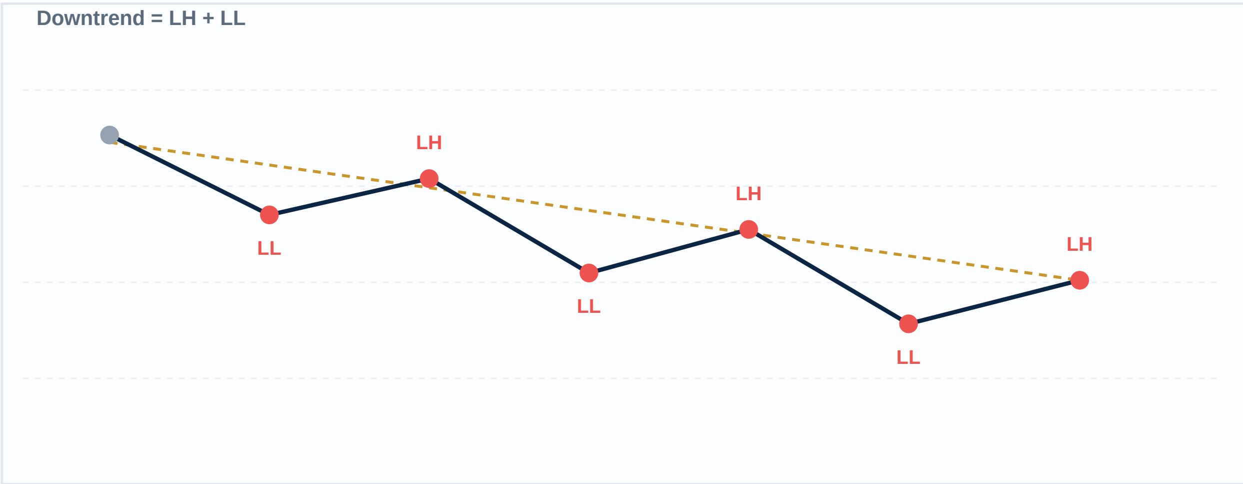


Figure — A falling sequence of Lower Highs and Lower Lows.

Ranging Markets

A range (or consolidation) is what happens when neither buyers nor sellers can extend structure in either direction — price oscillates between a ceiling and a floor without printing a new Higher High or a new Lower Low. Ranges are where candlestick patterns are least reliable on their own, because there's no prevailing direction for a pattern to confirm.

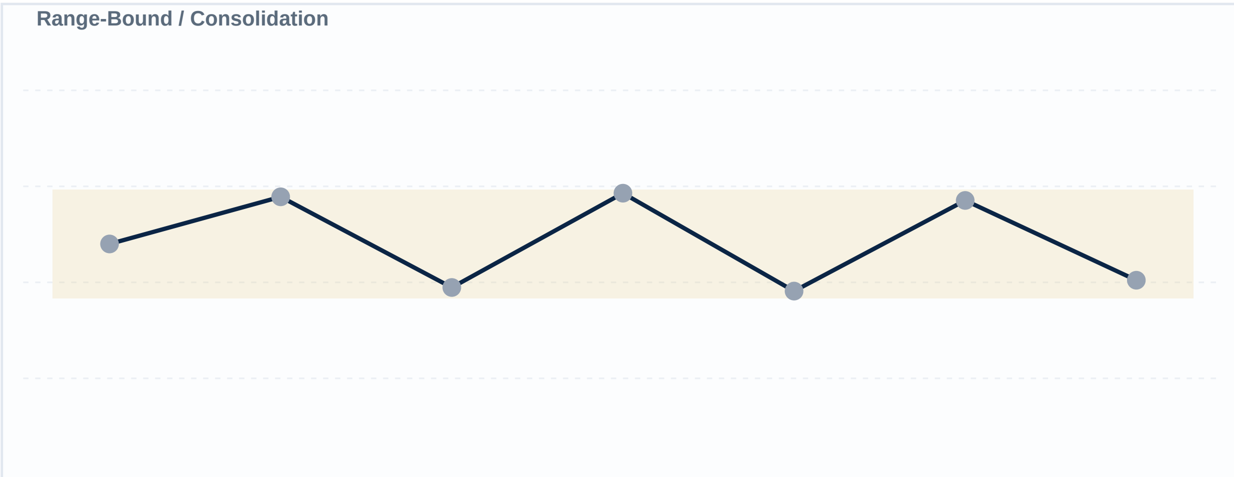


Figure — Price oscillates inside a ceiling and floor, going nowhere.

Trend Reversals

A reversal happens when the market fails to extend the existing structure and starts printing the opposite structure instead. In an uptrend, that means a swing high fails to beat the prior high (a Lower High), and price then breaks below the last Higher Low — the sequence of HH/HL has quietly become a sequence of LH/LL.

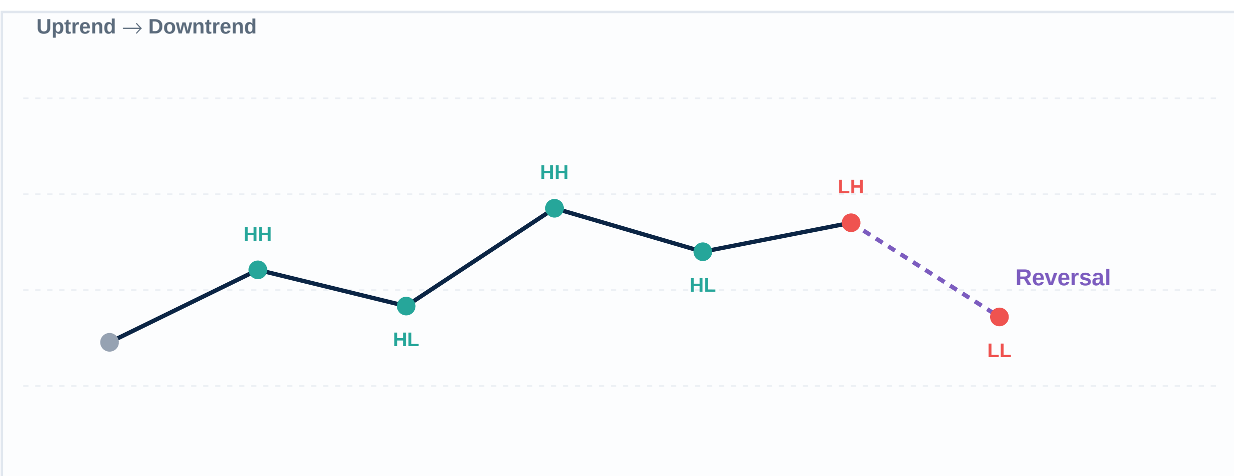


Figure — The uptrend fails to make a new high, then breaks its last Higher Low.

Trend Continuations

Most of the time, a trend does exactly what it's been doing. A continuation is what happens when a pullback holds above the prior Higher Low and price simply resumes making new Higher Highs — the far more common (and far less exciting) outcome than a reversal.

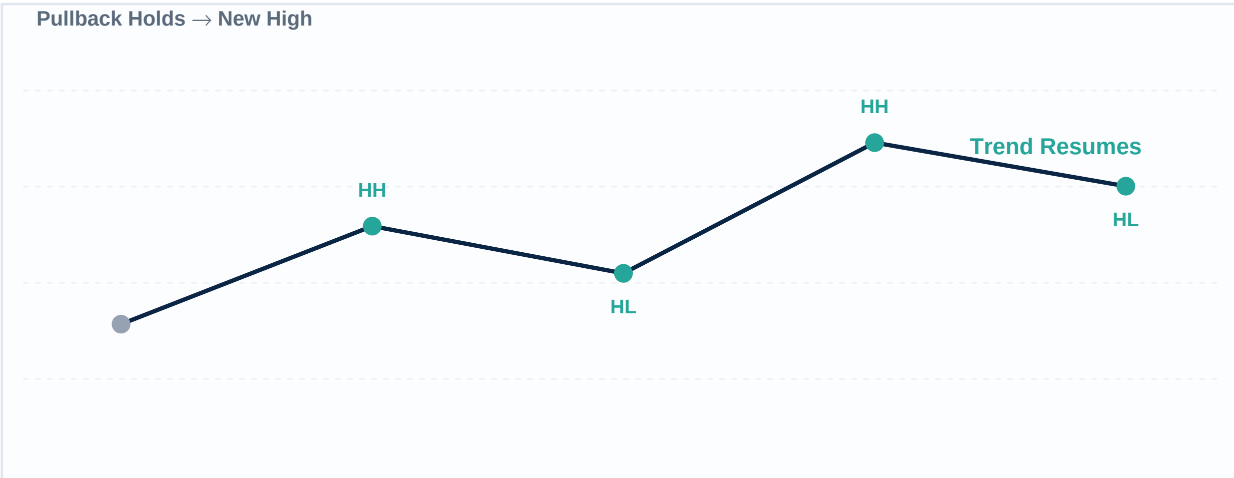


Figure — The pullback holds the Higher Low, and the uptrend continues.

Break of Structure (BOS)

A Break of Structure is what it sounds like: price breaks through the most recent significant swing high (in an uptrend) or swing low (in a downtrend), confirming that the existing trend is still in control. A BOS is a continuation signal — it tells you the trend just proved itself again.

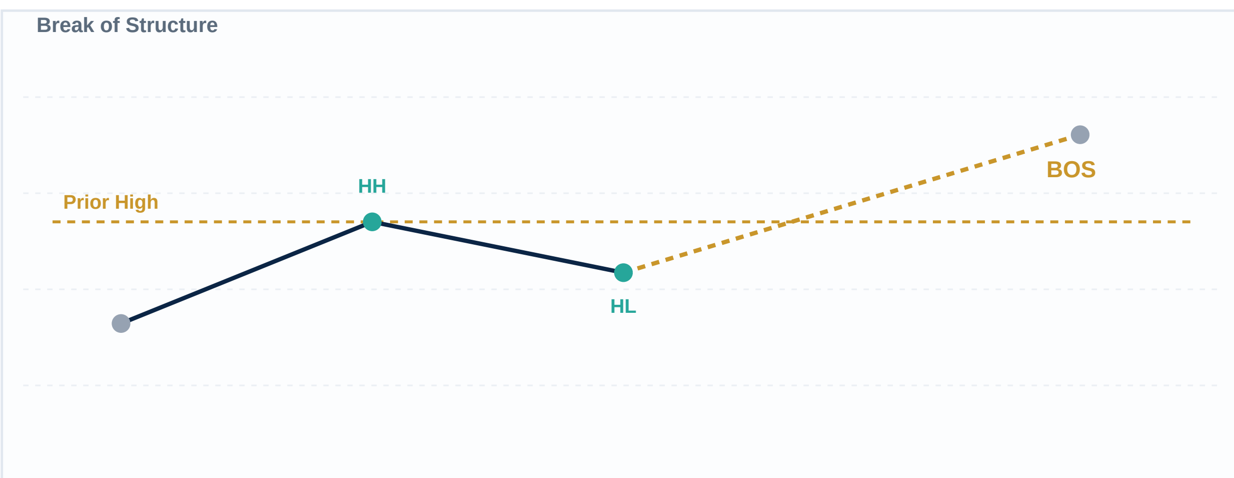


Figure — Price pushes back through the prior swing high: structure holds.

Change of Character (CHoCH)

A Change of Character is the opposite signal: price breaks the most recent Higher Low (in an uptrend) or Lower High (in a downtrend) — structure breaking against the prevailing trend for the first time. A CHoCH is your earliest warning that a reversal may be starting; it's often the very first leg of what later becomes a full trend reversal.

Figure — Price breaks the last Higher Low: the first sign of a possible shift.

02

CHAPTER 2

Support & Resistance

Structure tells you the direction. Support and resistance tell you where to actually look for a trade. A Bullish Engulfing Bar floating in open air is a coin flip; the same candle forming exactly at a level price has respected before is a completely different proposition. This chapter is about finding those levels and learning to tell the strong ones from the weak ones.

Horizontal Support

Horizontal support is a flat price level where buying has repeatedly stepped in to stop a decline. The more times a level holds, the more traders notice it — and the more orders tend to cluster there, which can (up to a point) make the level even more likely to hold again.

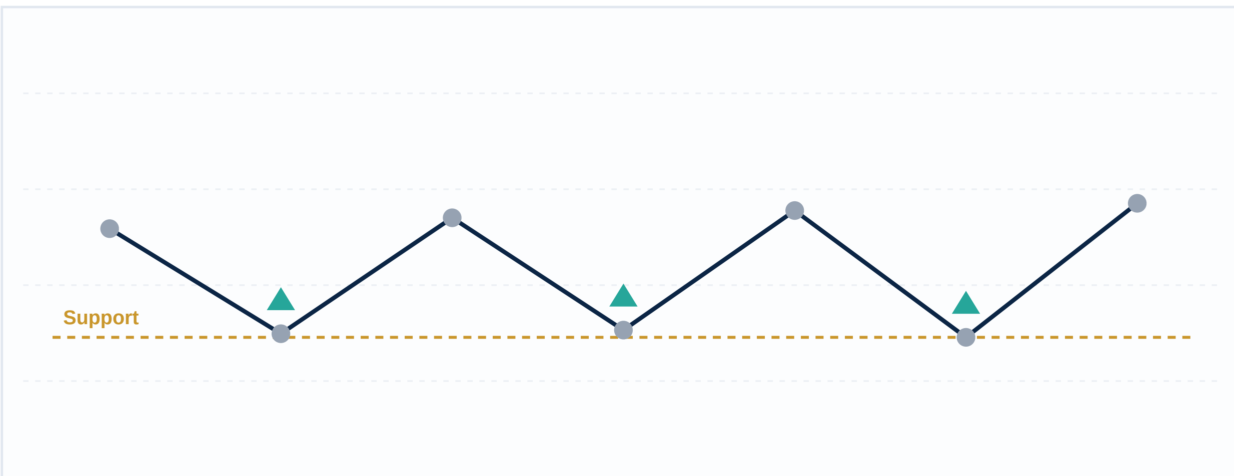


Figure — Price bounces off the same floor three times in a row.

Horizontal Resistance

Horizontal resistance is the mirror image — a flat level where selling has repeatedly stopped an advance. Watch for candlestick reversal signals (Shooting Stars, Bearish Engulfing Bars, Evening Stars) forming right at a resistance level; that's the highest-value spot on the whole chart to look for one.

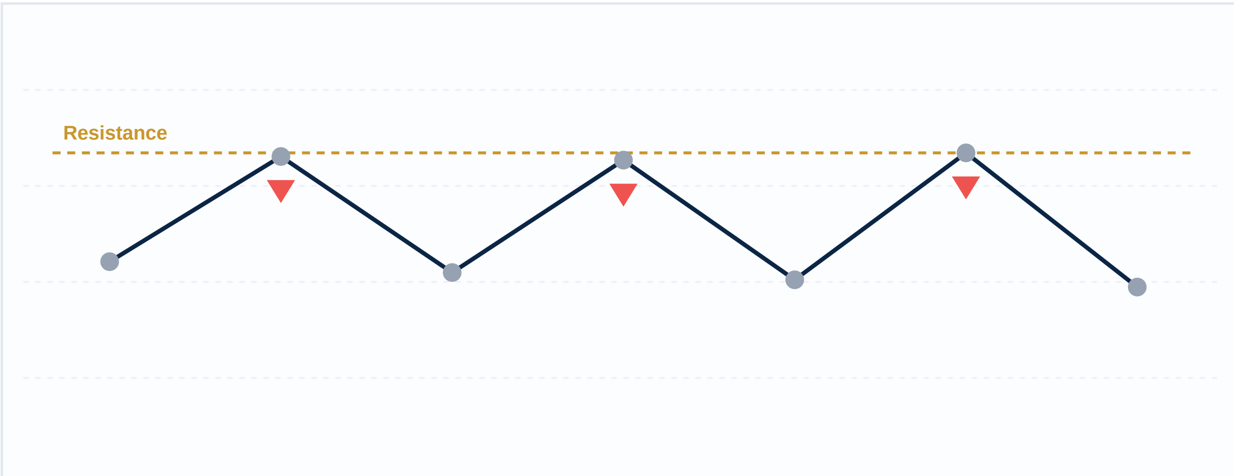


Figure — Price is turned away from the same ceiling three times in a row.

Dynamic Support

Not every level is flat. Dynamic support is a rising line — often a trendline or moving average — that price keeps bouncing off as it climbs. It moves with the trend, which makes it useful for spotting pullback entries inside a strong uptrend rather than waiting for price to fall all the way back to a fixed horizontal level.

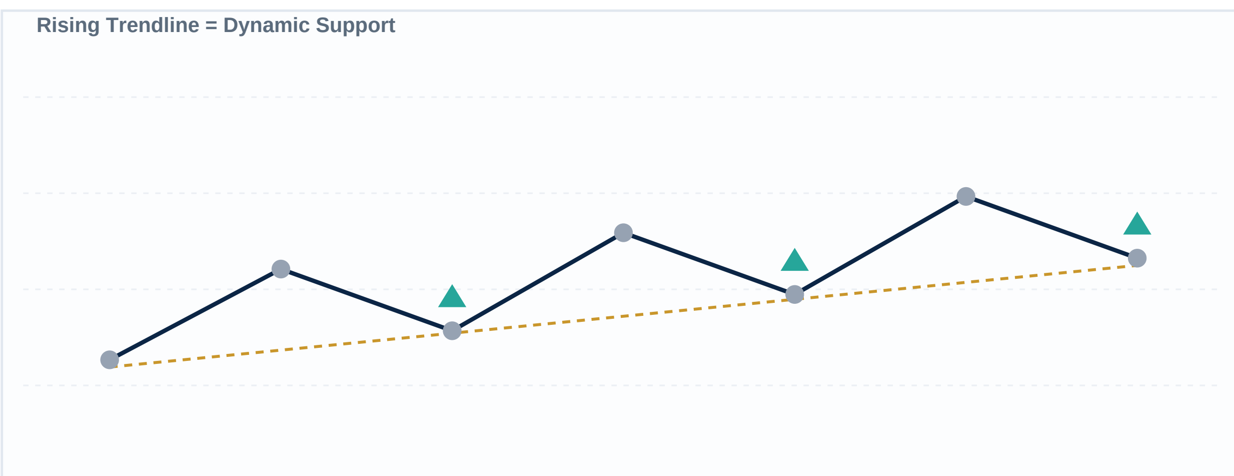


Figure — Price rides a rising trendline higher, bouncing off it each time.

Dynamic Resistance

The falling counterpart: a descending trendline that price keeps getting rejected from on the way down. As long as each rally is capped by that falling line, sellers remain in control — a clean break above it is often one of the first hints a downtrend is losing its grip.

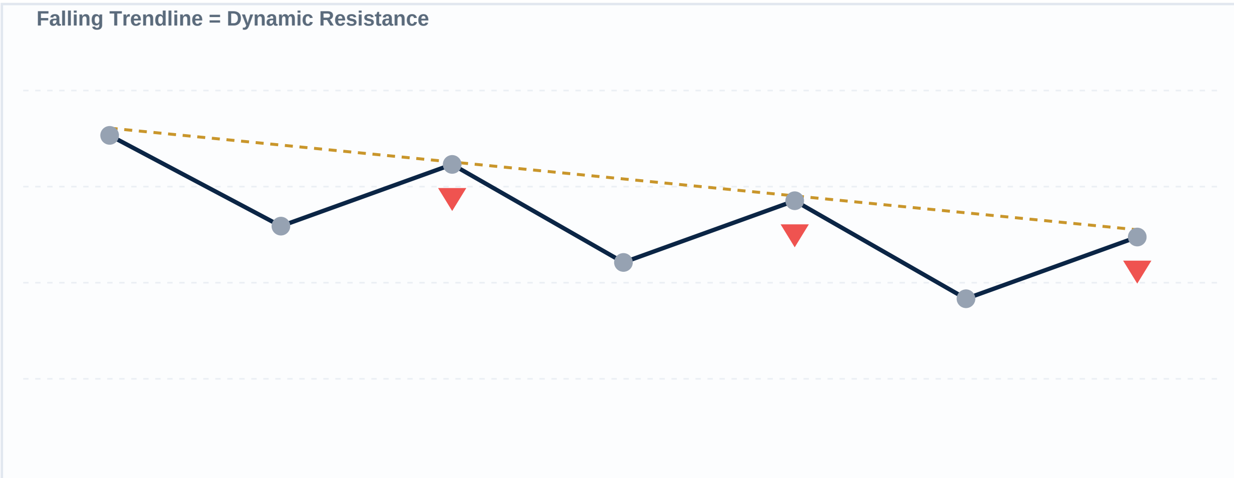


Figure — Price is capped by a falling trendline, rejected each time it approaches.

Role Reversal

One of the most useful ideas in trading: once a resistance level finally breaks, it frequently flips and starts acting as support — and once a support level breaks, it frequently flips and starts acting as resistance. The market's memory of a level doesn't disappear just because price broke through it once.

A retest of a broken level, holding on the new side, is one of the higher-probability entries in this entire book — especially when a bullish or bearish candlestick pattern confirms it.

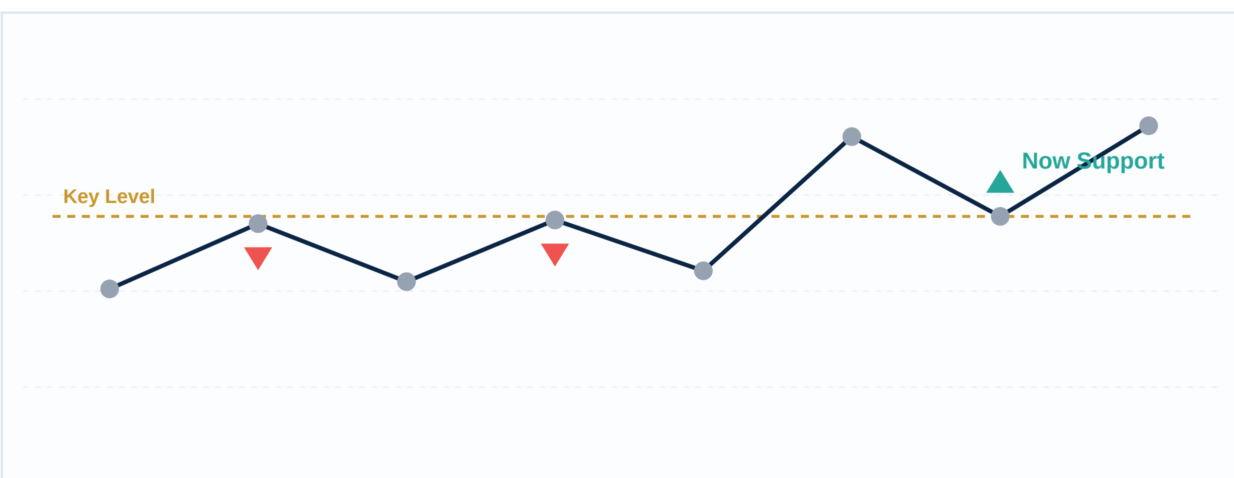


Figure — Resistance is broken, then retested and defended as new support.

Psychological Price Levels

Round numbers act like magnets — a level like 1.2000 on EUR/USD attracts orders simply because so many traders and institutions use round numbers to place them. These levels can act as support or resistance even with no prior chart history at all, purely because of where the number sits.

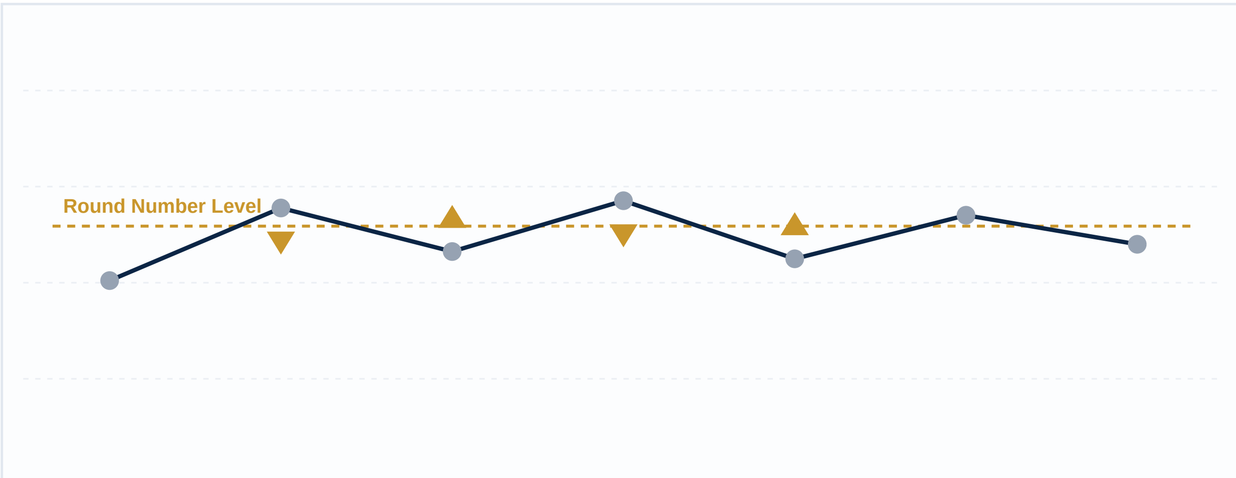
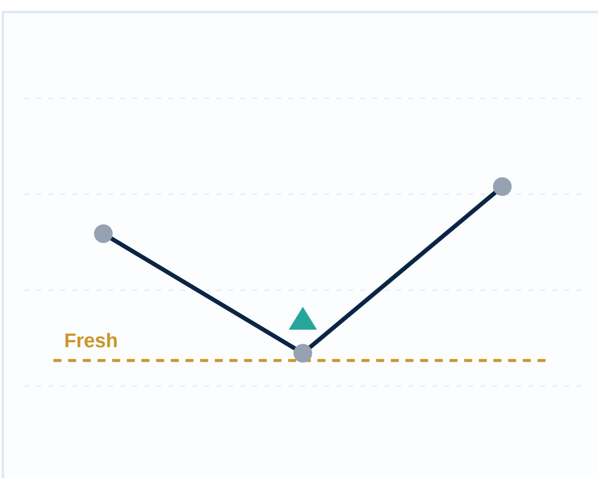


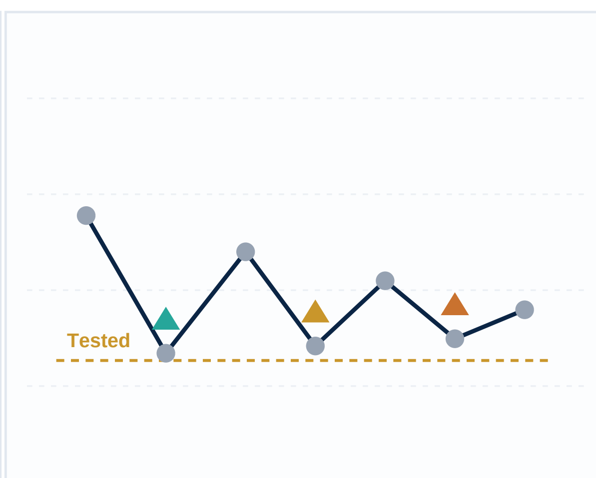
Figure — Price reacts around a round number from both directions.

Fresh vs Tested Levels

A fresh level — one that hasn't been touched yet — tends to produce a strong, clean reaction the first time price arrives, because the full weight of unfilled orders is still sitting there untouched. A level that's already been tested several times has fewer of those orders left; each additional touch tends to produce a weaker reaction until the level eventually gives way.



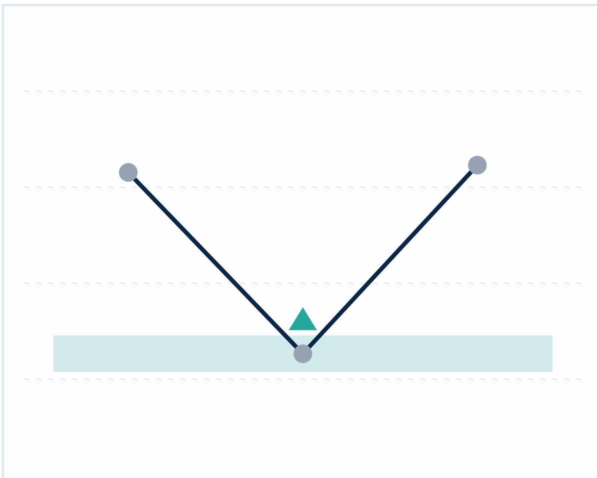
Fresh level — first touch, strong reaction.



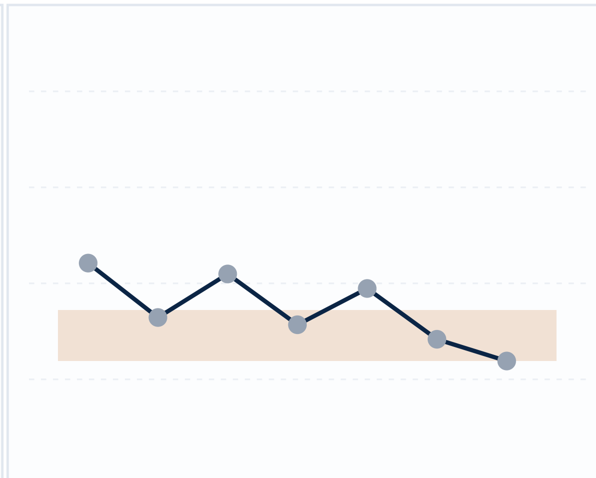
Tested level — each touch reacts a little weaker.

Strong vs Weak Zones

A strong zone produces a sharp, decisive reaction — price arrives, reverses hard, and leaves quickly, which shows real conviction behind the level. A weak zone produces a choppy, grinding reaction — price lingers, wobbles, and often eventually slices straight through. The sharper the reaction, the more you can trust the zone next time.



Strong zone — sharp, decisive rejection.



Weak zone — choppy, grinds through easily.

CHAPTER 3

03 Candlestick Psychology

Volume I taught you to recognize fourteen candlestick patterns by shape. This chapter asks a different question: why does each one form in the first place? Every pattern is really just a short story about a fight between buyers and sellers — and once you can read that story, you stop memorizing shapes and start thinking about what large, well-funded traders were probably doing during that candle. That shift in thinking is what separates a trader who reacts to patterns from one who anticipates them.

Hammer

Setup — Price sells off hard within the period.

Reaction — Sellers push to a new low, but buyers absorb every bit of that supply and drive price back up.

Outcome — Buyers win the session decisively.

Institutional Read — *A large buyer likely used the sell-off as a chance to accumulate at a discount — smart money often buys into panic, not into strength.*

Hanging Man

Setup — Price has been rallying.

Reaction — Sellers push price sharply lower intraday even though the trend is up; buyers only partially recover it.

Outcome — Buyers technically "win" the candle, but only after real selling pressure showed up for the first time.

Institutional Read — *Large sellers are starting to test the market's ability to absorb supply — the first crack in an uptrend often looks exactly like this.*

Shooting Star

Setup — Price has been rallying.

Reaction — Buyers push to a new high, but sellers overwhelm them and slam price back down near the open.

Outcome — Sellers win the session after buyers briefly looked in control.

Institutional Read — *This is often where large sellers unload into retail buying enthusiasm at the top of a move — distribution disguised as a breakout.*

Doji

Setup — Often appears after an extended move in either direction.

Reaction — Buyers and sellers both push price around but neither can hold the advantage into the close.

Outcome — A dead-even standoff.

Institutional Read — *Big players are pausing, not stepping away — a Doji after a strong trend often means smart money is quietly repositioning.*

Bullish Engulfing Bar

Setup — Price has been falling.

Reaction — Sellers control the first candle, but on the second, buyers don't just stop the decline — they erase it entirely and then some.

Outcome — A total, forceful handover of control to buyers.

Institutional Read — *This is what it looks like when a large buyer steps in aggressively enough to absorb an entire session's worth of selling in one move.*

Bearish Engulfing Bar

Setup — Price has been rising.

Reaction — Buyers control the first candle, but sellers erase the entire gain on the second and push further.

Outcome — A forceful handover of control to sellers.

Institutional Read — *Large sellers are using rally strength as their exit — and taking price with them on the way out.*

Bullish Harami

Setup — Price has been falling hard.

Reaction — After one more strong seller push, the very next candle contracts sharply into a small, indecisive range.

Outcome — Sellers haven't lost yet, but they've clearly stopped gaining ground.

Institutional Read — *Aggressive selling has met a wall of hidden demand — often the first sign that a large buyer has started quietly absorbing supply.*

Bearish Harami

Setup — Price has been rising strongly.

Reaction — After one more strong buyer push, the next candle contracts sharply.

Outcome — Buyers haven't lost control yet, but their momentum has stalled hard.

Institutional Read — *A large seller has likely started absorbing the rally without yet forcing price down — distribution often begins exactly like this.*

Morning Star

Setup — Price is in a clear downtrend.

Reaction — One more strong seller candle, followed by a session of pure indecision, followed by buyers taking full control.

Outcome — A three-act story of sellers exhausting themselves and buyers seizing the moment.

Institutional Read — *The "star" candle in the middle is often where smart money quietly finishes accumulating before letting price run.*

Evening Star

Setup — Price is in a clear uptrend.

Reaction — One more strong buyer candle, a session of indecision, then sellers take full control.

Outcome — A three-act top forming in real time.

Institutional Read — *The indecision candle is often the exact moment large holders begin distributing into the last wave of buyers.*

Tweezer Tops

Setup — Price is rallying toward a level.

Reaction — Price tests the same high twice and is turned back both times.

Outcome — A clearly defined ceiling.

Institutional Read — *A large seller is defending that price with real size — two rejections at almost the same print rarely happens by accident.*

Tweezer Bottoms

Setup — Price is falling toward a level.

Reaction — Price tests the same low twice and is defended both times.

Outcome — A clearly defined floor.

Institutional Read — *A large buyer is defending that price — the market is telling you exactly where the order book gets heavy.*

Dragonfly Doji

Setup — Price has been falling.

Reaction — Sellers drive price sharply lower during the session, but buyers reclaim essentially all of the ground by the close.

Outcome — A decisive rejection of lower prices.

Institutional Read — *Often a stop-hunt — price is pushed low enough to trigger panic selling and stop-losses, which large buyers then absorb.*

Gravestone Doji

Setup — Price has been rising.

Reaction — Buyers drive price sharply higher, but sellers reclaim essentially all of the ground by the close.

Outcome — A decisive rejection of higher prices.

Institutional Read — *Often a liquidity grab above a well-known high, sweeping in breakout buyers right before smart money sells into them.*

04

CHAPTER 4

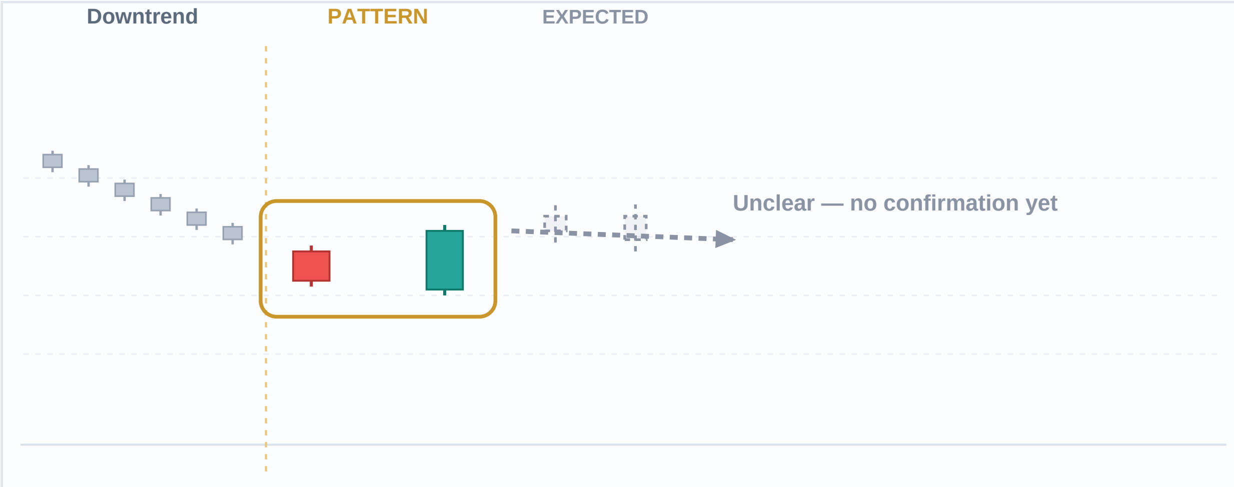
Candlestick Confirmation

Here is the single most important habit in this entire book: never trade the candle alone. A candlestick pattern is a hypothesis about what buyers and sellers just did — not proof of what they're about to do next. Professional traders treat every pattern as the first piece of evidence in a case, and they wait for more evidence to stack up before they ever risk money on it.

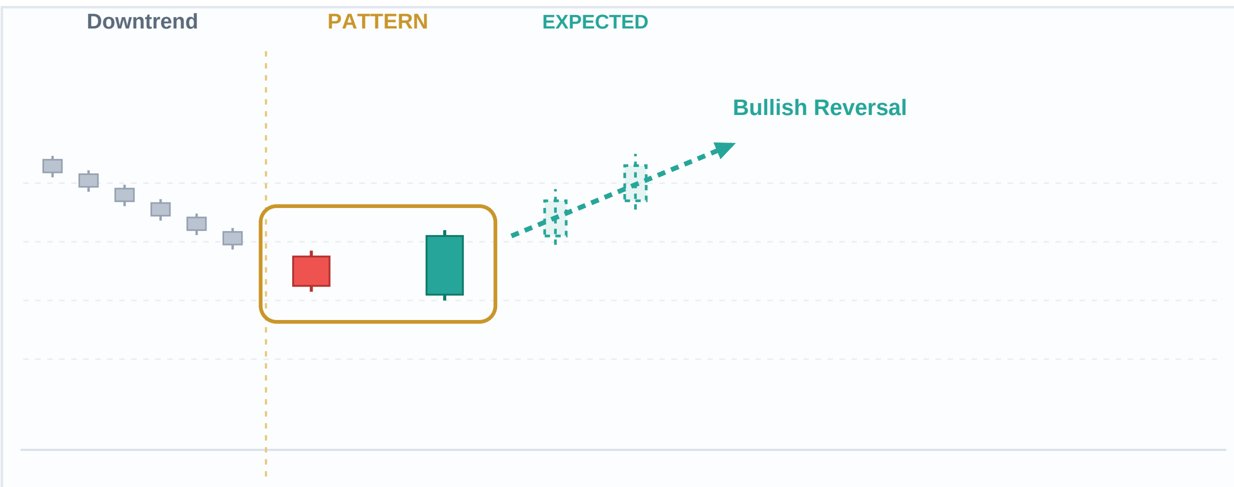
Next Candle Confirmation

The single most reliable confirmation is also the simplest: wait for the candle after the pattern to close in the direction the pattern implied. A Bullish Engulfing Bar followed by another strong bullish candle is a very different trade than one followed by a candle that immediately gives the gain back.

Yes, waiting costs you a little bit of entry price. It also filters out a large share of the patterns that were never going to work.



Without confirmation: the pattern appeared, but nothing has proven it yet.



With confirmation: the next candle closes higher, proving buyers are in control.

Momentum

Momentum is the speed and force behind a move. A confirming candle with a large body and real follow-through carries far more weight than a small, hesitant one that barely edges in the right direction. If you use an indicator like RSI or a moving average, a decisive move away from neutral adds another layer of confidence on top of the candle itself.

Volume (Where Available)

On instruments where real volume data exists — stocks, futures, most crypto pairs — a pattern that forms on above-average volume is far more trustworthy than the same pattern on a quiet, thin session. Volume shows you how many participants actually agreed with the move.

Many FX, HFX, and binary options platforms don't provide true exchange volume, only tick activity — so treat this confirmation as a bonus where it's available, not a requirement everywhere.

Trend Direction

Go back to Chapter 1. A reversal pattern only means something at the end of a real trend; a continuation pattern only means something in the direction of a trend that's already in motion. The exact same candle shape appearing in the middle of a range, with no structure behind it, is far weaker evidence.

Support & Resistance

Go back to Chapter 2. A pattern forming at a well-tested horizontal level, a dynamic trendline, or a round psychological number carries meaningfully more weight than the same pattern forming in open air with no level nearby.

Multiple Confirmations

No single confirmation guarantees a winning trade — but each one you stack on top of the pattern meaningfully improves your odds. A Hammer, at support, with the next candle closing higher, and RSI turning up from oversold, is a completely different quality of setup than a Hammer sitting alone in the middle of a chart.

This is the exact idea Chapter 7 builds on: professional setups are rarely a single pattern in isolation — they're several signals agreeing with each other at the same time and the same price.

05

CHAPTER 5

12 Advanced Candlestick Patterns

The fourteen patterns in Volume I cover most of what you'll see day to day. This chapter adds twelve more — patterns built from three, four, or five candles instead of one or two, which means they tell a longer, more detailed story about the fight between buyers and sellers. They tend to be rarer than the basics, but when they do appear, they're often some of the highest-conviction signals on the whole chart.

PATTERN 1 OF 12

Piercing Line

A bullish candle drives deep into the bear's territory

BIAS	RELIABILITY	BEST SEEN
Bullish Reversal	Medium-High	After a downtrend

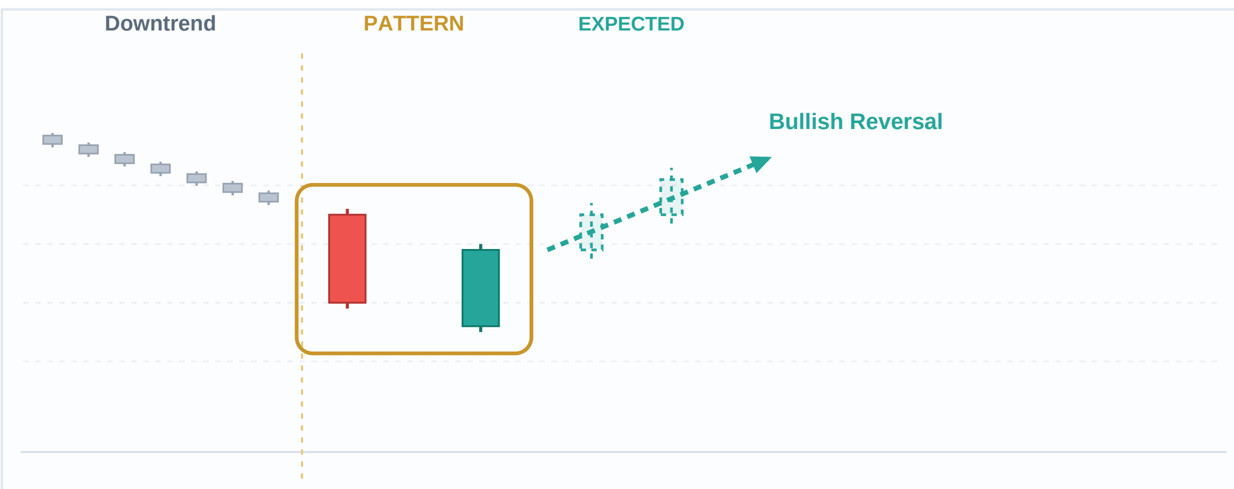


Figure — Piercing Line: prior trend, the pattern, and its implied bias.

What it looks like

A two-candle pattern: a large bearish candle, followed by a bullish candle that opens below the first candle's low but closes more than halfway back up into the first candle's body — without fully engulfing it.

The psychology behind it

Sellers open the second session with a fresh push lower, but buyers take that low print and drive price back up through more than half of the previous session's decline. It's forceful, but not quite the total takeover an engulfing bar represents.

How OneWay FX traders use it

Traders treat a Piercing Line after a downtrend similarly to a Bullish Engulfing Bar, though slightly less decisively — many wait for one more bullish candle before committing to a full position.

Caution

The deeper the second candle closes into the first candle's body, the stronger the signal. A close barely above the halfway point is a much weaker version of this pattern.

PATTERN 2 OF 12

Dark Cloud Cover

A bearish candle drags price back down through the rally

BIAS	RELIABILITY	BEST SEEN
Bearish Reversal	Medium-High	After an uptrend

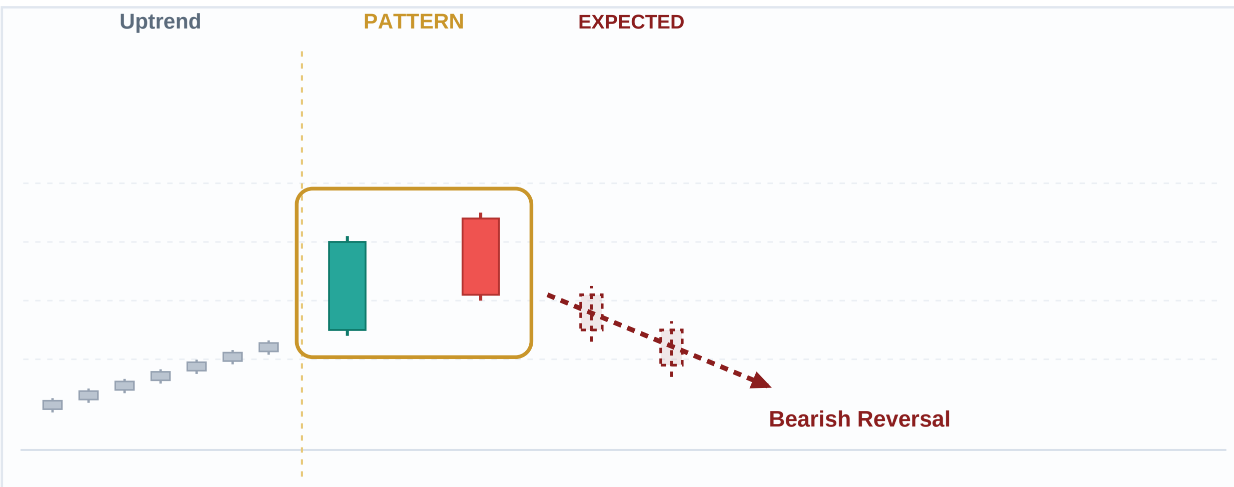


Figure — Dark Cloud Cover: prior trend, the pattern, and its implied bias.

What it looks like

The mirror of the Piercing Line: a large bullish candle, followed by a bearish candle that opens above the first candle's high but closes more than halfway back down into the first candle's body.

The psychology behind it

Buyers open the second session pushing to a fresh high, but sellers seize control and drag price back down through more than half of the prior rally. A clear signal that momentum has swung, even without a full engulfing close.

How OneWay FX traders use it

Traders treat a confirmed Dark Cloud Cover after an uptrend as a solid warning sign to reduce exposure or look for a bearish entry, particularly when it forms at resistance.

Caution

As with the Piercing Line, depth matters — the further the second candle closes into the first candle's body, the more conviction the pattern carries.

PATTERN 3 OF 12

Three White Soldiers

Three straight candles march to new highs

BIAS	RELIABILITY	BEST SEEN
Bullish Reversal	High	After a downtrend

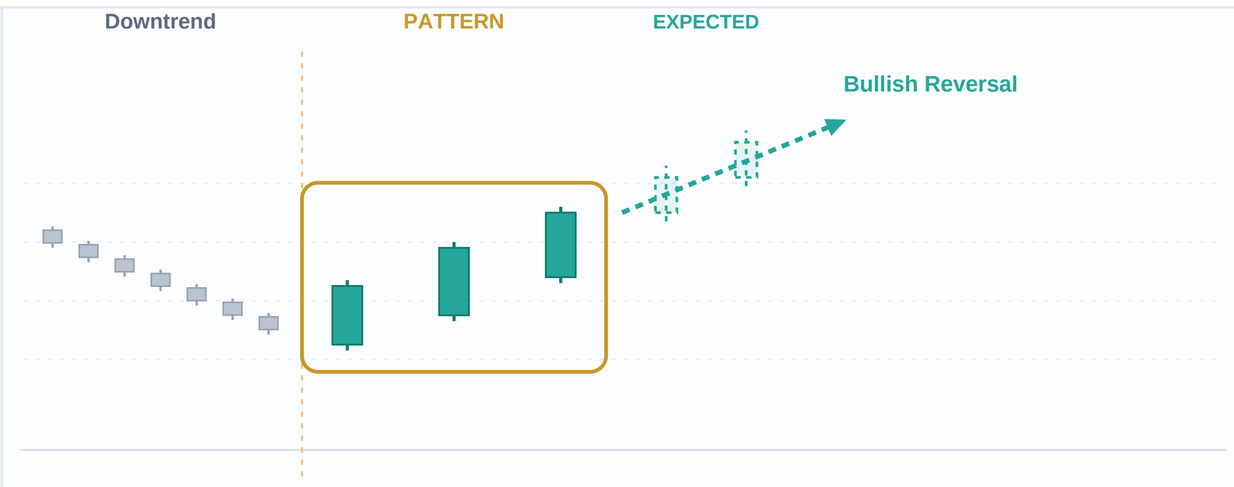


Figure — Three White Soldiers: prior trend, the pattern, and its implied bias.

What it looks like

Three consecutive, similarly sized bullish candles, each opening inside the previous candle's body and closing at a new high, with small wicks throughout.

The psychology behind it

Buyers take control and simply keep taking control, session after session, without giving sellers any real opportunity to push back. Three clean, steady wins in a row is a strong show of sustained conviction rather than a single burst of buying.

How OneWay FX traders use it

This is one of the more trusted multi-candle reversal or momentum signals — traders often use it to confirm a new uptrend is underway and look to join on the next shallow pullback rather than chase the third candle directly.

Caution

Watch for unusually long bodies with almost no wicks across all three candles — that can signal an overextended, exhausted move that's due for a pause rather than a healthy new trend.

PATTERN 4 OF 12

Three Black Crows

Three straight candles march to new lows

BIAS	RELIABILITY	BEST SEEN
Bearish Reversal	High	After an uptrend

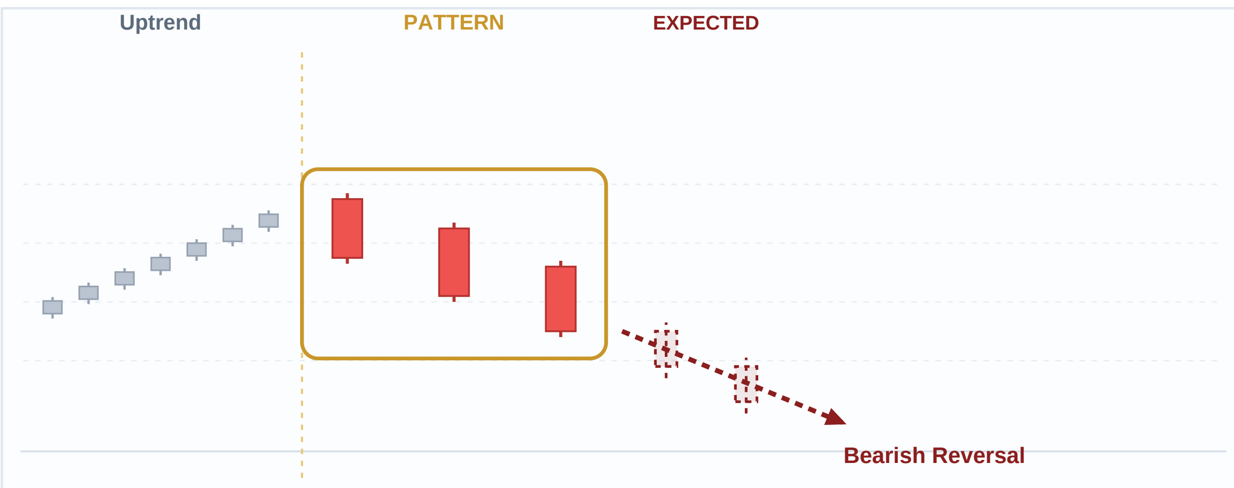


Figure — Three Black Crows: prior trend, the pattern, and its implied bias.

What it looks like

Three consecutive, similarly sized bearish candles, each opening inside the previous candle's body and closing at a new low, with small wicks throughout.

The psychology behind it

Sellers take control and keep it, session after session, with no real pushback from buyers. Three consistent, orderly losses in a row show sustained selling pressure rather than a single panic spike.

How OneWay FX traders use it

Traders treat this as strong confirmation that a top is forming and a new downtrend is underway, often looking to join on the next shallow bounce rather than chase the third candle directly.

Caution

As with Three White Soldiers, watch for exhaustion — three unusually long, wick-free candles in a row can mean the move is overextended and due for at least a temporary bounce.

PATTERN 5 OF 12

Bullish Marubozu

A candle with no wicks at all — pure conviction

BIAS	RELIABILITY	BEST SEEN
Bullish Reversal	Medium	After a downtrend or breakout

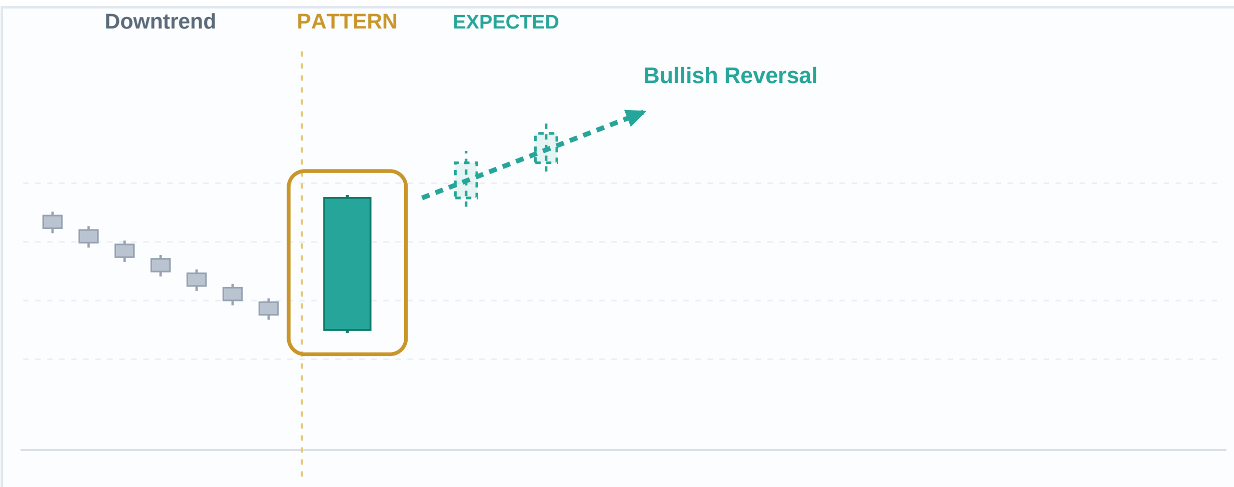


Figure — Bullish Marubozu: prior trend, the pattern, and its implied bias.

What it looks like

A single candle with a large bullish body and virtually no upper or lower wick — the open is (almost) the low, and the close is (almost) the high.

The psychology behind it

Buyers control the entire session from the opening bell to the close, without sellers ever meaningfully pushing back. No wick means no rejection at either end — pure, uncontested buying pressure for the whole period.

How OneWay FX traders use it

A Marubozu is often used as a momentum confirmation candle — traders treat it as a strong signal that whichever side is in control intends to keep pushing, and it works both as a reversal candle after a decline and as a continuation candle mid-trend.

Caution

A Marubozu appearing after an already extended move can mark exhaustion (a climax candle) rather than the start of a fresh trend — location still matters as much as shape.

PATTERN 6 OF 12

Bearish Marubozu

A candle with no wicks at all — pure conviction, downward

BIAS	RELIABILITY	BEST SEEN
Bearish Reversal	Medium	After an uptrend or breakdown

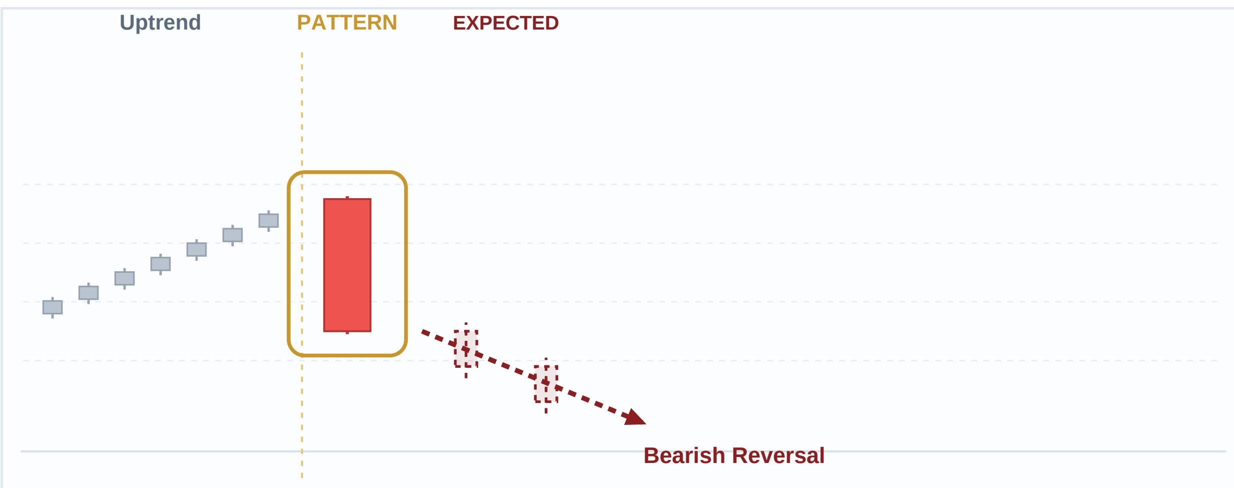


Figure — Bearish Marubozu: prior trend, the pattern, and its implied bias.

What it looks like

A single candle with a large bearish body and virtually no upper or lower wick — the open is (almost) the high, and the close is (almost) the low.

The psychology behind it

Sellers control the entire session with no meaningful pushback from buyers at either end. Uncontested selling pressure for the full period.

How OneWay FX traders use it

Traders read a Bearish Marubozu as a strong momentum confirmation, useful both as a reversal signal after an uptrend and as a continuation signal mid-downtrend.

Caution

A Bearish Marubozu after an already extended decline can mark a selling climax rather than a fresh breakdown — check for exhaustion before assuming the move continues.

PATTERN 7 OF 12

Rising Three Methods

A pause inside the trend, then the rally resumes

BIAS	RELIABILITY	BEST SEEN
Bullish Continuation	**Medium-High**	**Mid-uptrend (continuation)**

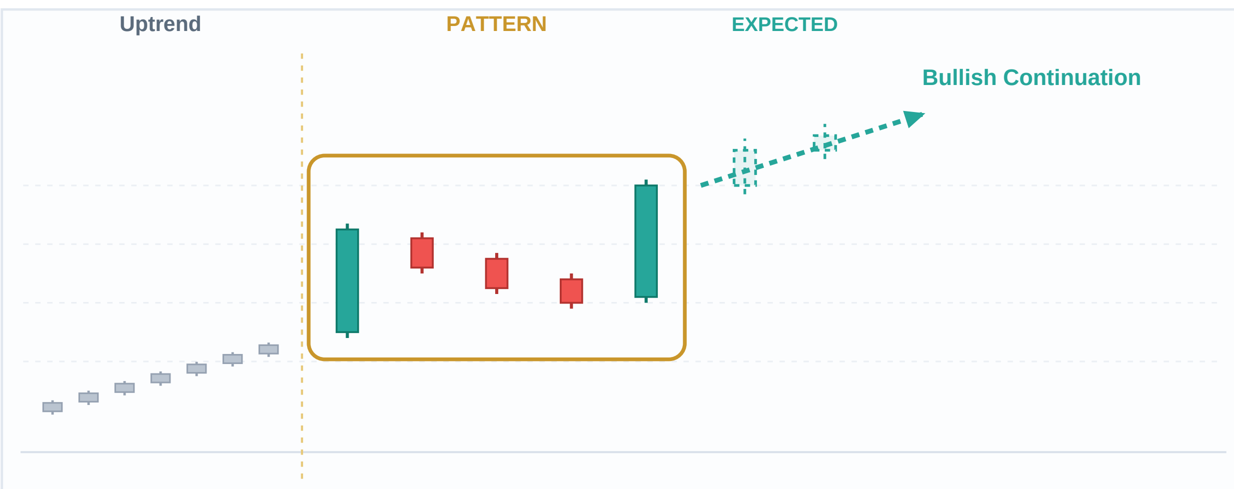


Figure — Rising Three Methods: prior trend, the pattern, and its implied bias.

What it looks like

A large bullish candle, followed by three small candles that drift lower but stay contained within the first candle's range, followed by a final large bullish candle that closes above the first candle's high.

The psychology behind it

After a strong push higher, the market takes a breather — sellers nudge price down a little, but never with enough force to erase the initial gain or break the range. Once that pause is over, buyers resume control and push to a new high.

How OneWay FX traders use it

This is a continuation pattern, not a reversal — traders use it to confirm that a pullback inside an uptrend was just a pause, not a top, and look to join the trend once the fifth candle confirms.

Caution

If any of the three middle candles closes outside the first candle's range, the pattern is invalidated — that would suggest real selling pressure, not just a pause.

PATTERN 8 OF 12

Falling Three Methods

A pause inside the trend, then the decline resumes

BIAS	RELIABILITY	BEST SEEN
Bearish Continuation	Medium-High	Mid-downtrend (continuation)

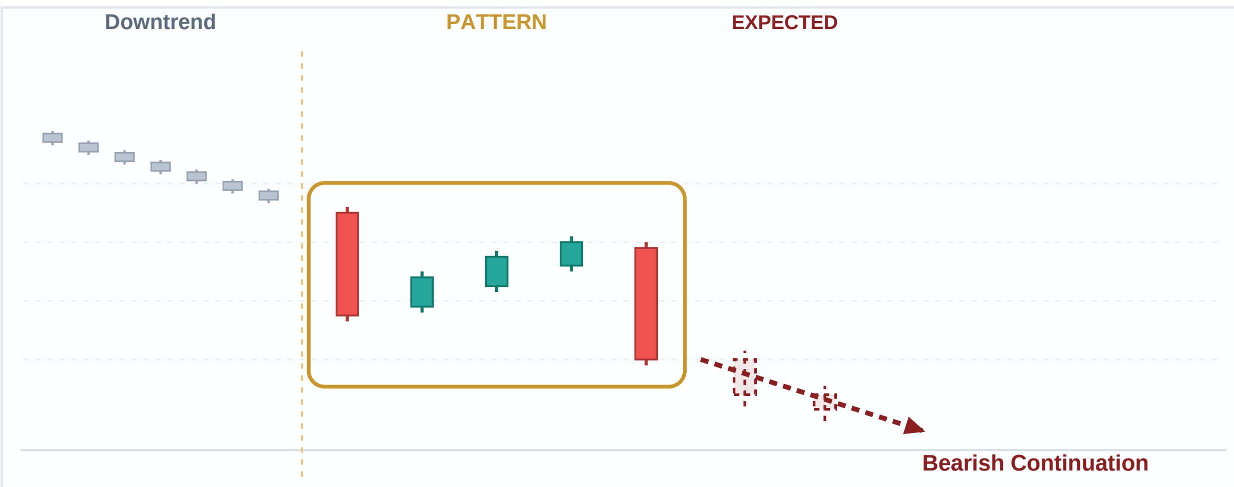


Figure — Falling Three Methods: prior trend, the pattern, and its implied bias.

What it looks like

A large bearish candle, followed by three small candles that drift higher but stay contained within the first candle's range, followed by a final large bearish candle that closes below the first candle's low.

The psychology behind it

After a strong push lower, the market pauses — buyers nudge price up a little, but never with enough force to erase the decline or break the range. Once the pause ends, sellers resume control and push to a new low.

How OneWay FX traders use it

A continuation pattern traders use to confirm that a bounce inside a downtrend was just a pause, not a bottom, joining the trend once the fifth candle confirms.

Caution

If any of the three middle candles closes outside the first candle's range, the pattern is invalidated.

PATTERN 9 OF 12

Bullish Kicker

A total, gap-driven reversal in sentiment

BIAS	RELIABILITY	BEST SEEN
Bullish Reversal	**High**	**At the end of a downtrend**

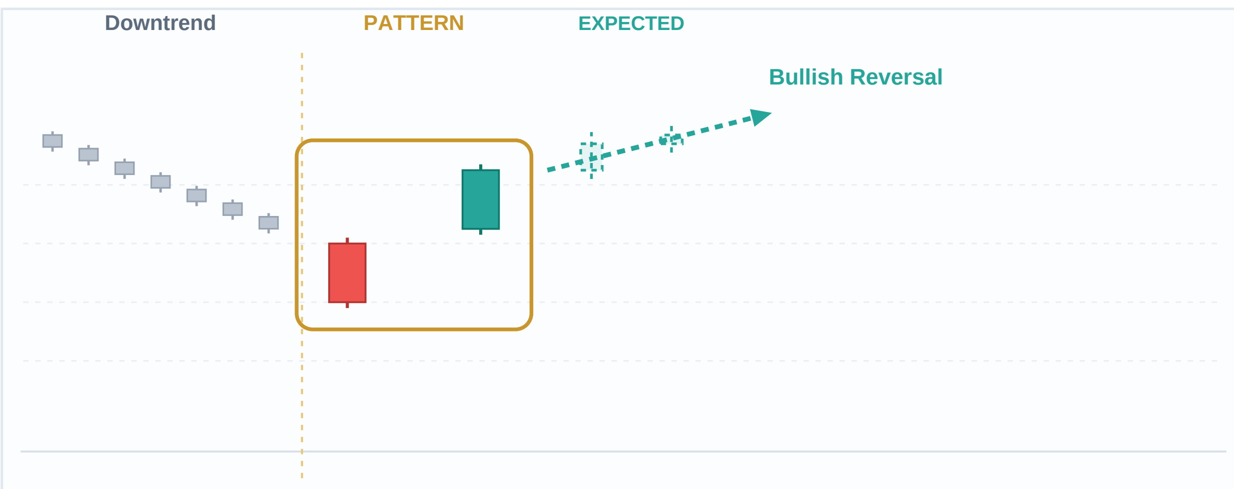


Figure — Bullish Kicker: prior trend, the pattern, and its implied bias.

What it looks like

A bearish candle, followed by a bullish candle that gaps up and opens above the first candle's open — the two candles' ranges don't overlap at all.

The psychology behind it

Sentiment doesn't just shift, it snaps. Whatever news or order flow caused the gap overwhelmed the prior trend so completely that price never even traded back into the previous candle's range — a clean, total handover from sellers to buyers.

How OneWay FX traders use it

Traders treat a Bullish Kicker as one of the strongest single reversal signals available, often entering as soon as the second candle confirms, with the gap itself used as a key risk level.

Caution

Kickers are often driven by news or a major level giving way — confirm there's a real catalyst rather than a data glitch or a thin-liquidity gap before trusting it fully.

PATTERN 10 OF 12

Bearish Kicker

A total, gap-driven reversal in sentiment, downward

BIAS	RELIABILITY	BEST SEEN
Bearish Reversal	High	At the end of an uptrend

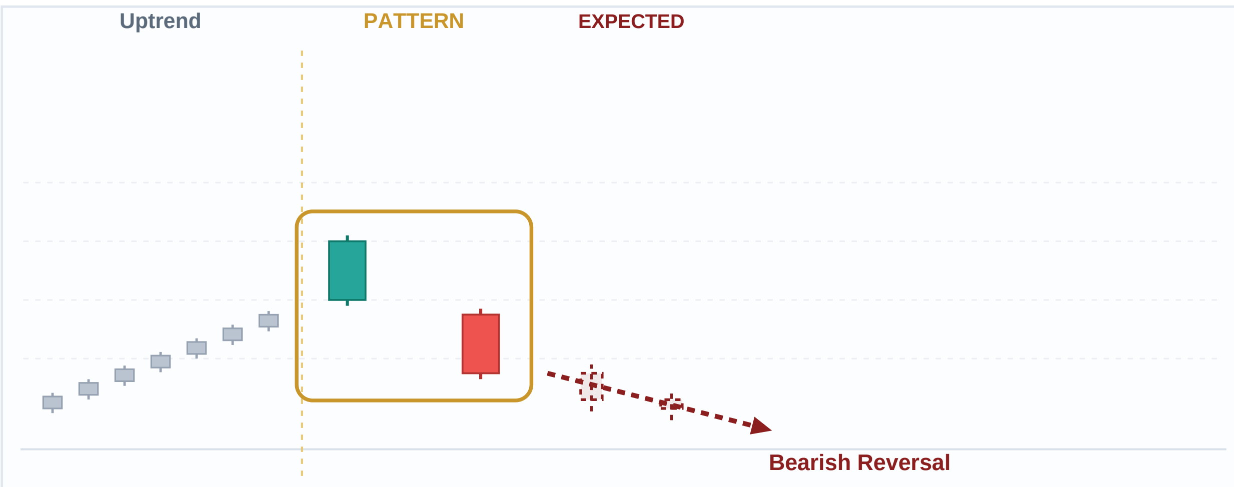


Figure — Bearish Kicker: prior trend, the pattern, and its implied bias.

What it looks like

A bullish candle, followed by a bearish candle that gaps down and opens below the first candle's open — the two candles' ranges don't overlap at all.

The psychology behind it

Sentiment snaps from bullish to bearish in an instant. Whatever drove the gap down overwhelmed the prior uptrend so completely that price never traded back into the previous candle's range.

How OneWay FX traders use it

Traders treat a Bearish Kicker as one of the strongest single reversal signals available, often entering as soon as the second candle confirms, using the gap as a key risk level.

Caution

Confirm there's a genuine catalyst behind the gap — news, an earnings surprise, a key level failing — rather than a thin-liquidity anomaly before trusting it fully.

PATTERN 11 OF 12

Three Inside Up

A harami, then proof that buyers really meant it

BIAS	RELIABILITY	BEST SEEN
Bullish Reversal	Medium-High	After a downtrend

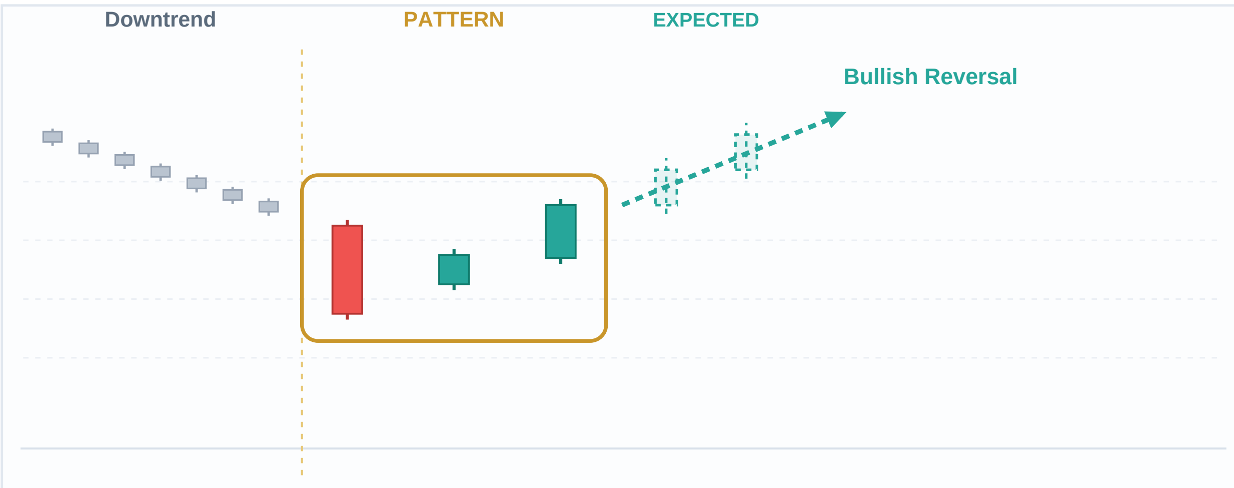


Figure — Three Inside Up: prior trend, the pattern, and its implied bias.

What it looks like

A large bearish candle, a small bullish candle contained inside it (a Bullish Harami), and then a third candle that closes above the first candle's open — confirming what the harami only hinted at.

The psychology behind it

The first two candles show selling pressure stalling out. The third candle is buyers proving it wasn't a fluke — they push price convincingly back above where the whole pattern started.

How OneWay FX traders use it

This is essentially a Bullish Harami with its own built-in confirmation candle, which is why it's rated more reliable than a harami alone — traders can act on the third candle's close with more confidence than they could on the harami by itself.

Caution

A weak, small third candle that barely closes above the first candle's open is a far less convincing version of this pattern.

PATTERN 12 OF 12

Three Inside Down

A harami, then proof that sellers really meant it

BIAS	RELIABILITY	BEST SEEN
Bearish Reversal	**Medium-High**	**After an uptrend**

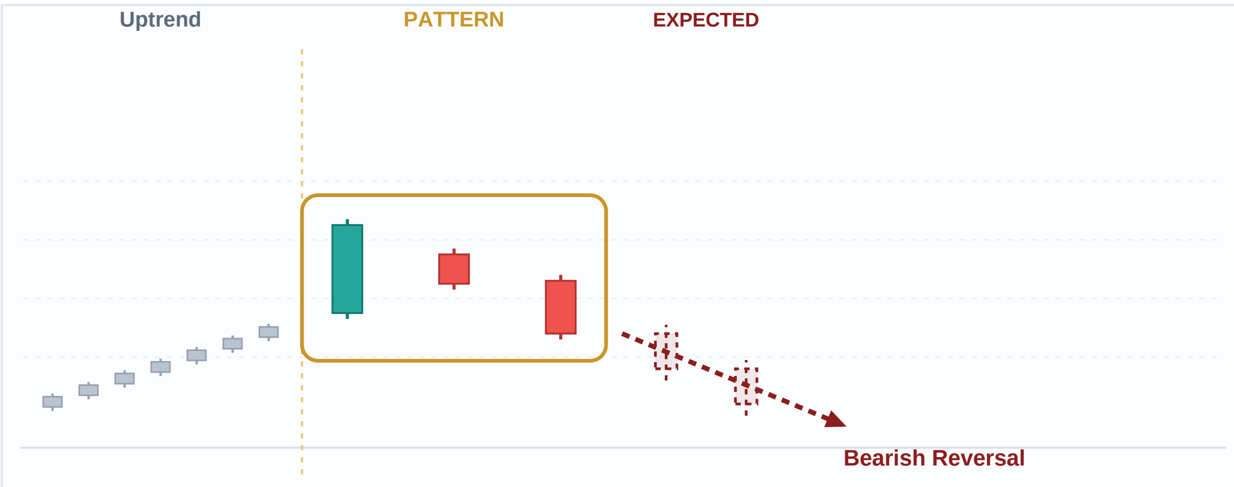


Figure — Three Inside Down: prior trend, the pattern, and its implied bias.

What it looks like

A large bullish candle, a small bearish candle contained inside it (a Bearish Harami), and then a third candle that closes below the first candle's open — confirming the harami.

The psychology behind it

The first two candles show buying pressure stalling out. The third candle is sellers proving it wasn't a fluke — they push price convincingly back below where the whole pattern started.

How OneWay FX traders use it

A Bearish Harami with its own built-in confirmation candle, rated more reliable than a harami alone for the same reason: the third candle removes the guesswork.

Caution

A weak, small third candle that barely closes below the first candle's open is a far less convincing version of this pattern.

CHAPTER 6

06 Candlestick Pattern Reliability

Not every candlestick pattern deserves the same amount of trust. Some patterns represent a total, forceful handover of control that's hard to fake; others represent a much softer signal that needs real supporting evidence before it means anything. This chapter sorts every pattern from both volumes into three tiers, and explains what separates one tier from the next.

★★★★★ Highest Conviction

These patterns show a total, forceful handover of control — one side didn't just win, they overwhelmed the other side completely, often across multiple candles. They're the hardest patterns to fake by accident.

Bullish Engulfing Bar • Bearish Engulfing Bar • Morning Star • Evening Star • Hammer • Shooting Star • Three White Soldiers • Three Black Crows • Bullish Kicker • Bearish Kicker

★★★★☆ Strong, Lean on Confirmation

These patterns show real, meaningful pressure shifting — but slightly less decisively than a five-star pattern. They're trustworthy once confirmed by the next candle or a nearby level, but weaker as a standalone signal.

Bullish Harami • Bearish Harami • Tweezer Tops • Tweezer Bottoms • Doji • Dragonfly Doji • Gravestone Doji • Hanging Man • Piercing Line • Dark Cloud Cover • Three Inside Up • Three Inside Down • Rising Three Methods • Falling Three Methods

★★★☆☆ Common, Highly Context-Dependent

These patterns show up constantly and mean very little on their own — a Marubozu is just a strong-momentum candle, and a Spinning Top (a small body with wicks on both sides, similar to a Doji but with a bit more real range) just shows a mild standoff. Both need heavy context — trend, level, and confirmation — before they're worth acting on.

Bullish Marubozu • Bearish Marubozu • Spinning Top

07

CHAPTER 7

Candlestick Pattern Combinations

Every chapter so far has taught you one ingredient at a time: structure, levels, a pattern, confirmation. Real, high-conviction setups come from stacking several of those ingredients on top of each other at the same price, at the same time. This chapter shows what that stacking actually looks like in practice.

Hammer + Bullish Engulfing + Support = Very Strong Setup

A Hammer alone is a hint. A Hammer that gets confirmed by a Bullish Engulfing Bar, both forming right at a tested support level, is three independent signals agreeing at the same price — exactly the kind of confluence Chapter 4 is about.

Morning Star + Demand Zone = High Probability

A Morning Star is already a high-conviction, three-candle reversal story. When that same reversal completes right inside a demand zone — a level where large buyers have stepped in before — the pattern and the location are telling you the same thing at once.

Three White Soldiers + Break of Structure = Momentum Entry

Three White Soldiers already shows sustained buying pressure. When that same move also breaks above the prior swing high (a BOS), you have both a pattern and a structure signal confirming the same continuation.

Bearish Engulfing + Resistance + CHoCH = High-Probability Reversal

A Bearish Engulfing Bar at a resistance level is already strong. Add a Change of Character — price breaking the last Higher Low right as this happens — and you have pattern, level, and structure all pointing to the same reversal.

Doji + Support + Confirmation Candle = Cautious Long Entry

A Doji by itself is only a four-star signal (Chapter 6). But a Doji at support, followed by a strong bullish confirmation candle, has climbed the confidence ladder rung by rung — this is how a weak pattern becomes a tradeable setup.

CHAPTER 8

08

Fake Candlestick Signals

Most beginner losses don't come from not knowing any patterns — they come from trusting a signal that was never real in the first place. This chapter covers the most common ways candlesticks lie, and how to protect yourself from each one.

Fake Engulfings

Not every candle that technically engulfs the last one carries real weight. A tiny prior candle is trivial to engulf — the resulting "engulfing bar" can look textbook-perfect while representing very little actual buying or selling pressure. Compare the size of the engulfing candle to several candles before it, not just the one immediately prior.

False Hammers

A small body with a long lower wick means nothing if it isn't sitting after a real downtrend or at a real support level. Context is what turns the shape into a signal — a hammer-shaped candle in the middle of a range is just noise wearing a costume.

News Candles

A candle formed during a major news release (interest rate decisions, employment data, central bank speeches) can spike, wick, and reverse violently for reasons that have nothing to do with normal technical structure. Treat patterns that form during these windows with extra suspicion, or simply sit out until the volatility settles.

Low Liquidity

When very few participants are trading — late in the session, during holidays, in thinly traded instruments — it takes very little order flow to create a dramatic-looking candle. A pattern formed on thin liquidity is far more prone to snapping back the moment normal trading volume returns.

Weekend Gaps

Markets that close over the weekend can reopen at a noticeably different price than where they closed, creating a gap on the chart that has nothing to do with a candlestick pattern — it's simply the market repricing for news that happened while it was shut. Don't read a weekend gap as an engulfing or kicker pattern; check the calendar before you interpret it.

Fake Breakouts

Price pushes through a support or resistance level, triggers a wave of breakout entries — and then reverses right back inside the prior range, leaving all of those entries underwater. This is exactly the Fakeout concept from Volume I's glossary; the safest way to avoid it is to wait for a retest of the broken level before entering, rather than chasing the breakout candle itself.

Bull Traps

A bull trap is a fake breakout above resistance that lures buyers in right before price reverses hard and falls back below the level. The breakout candle looks convincing precisely because it's designed to — whether by genuine short-term momentum or by larger players using retail breakout buying as an exit.

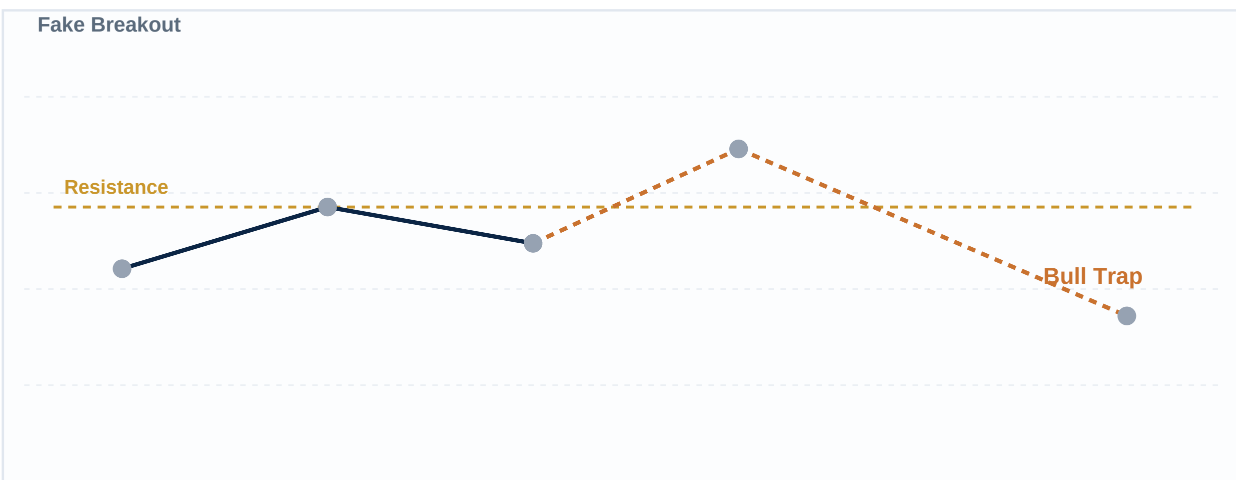


Figure — Price fakes a break above resistance, then reverses hard back below it.

Bear Traps

A bear trap is the mirror image: a fake breakdown below support that lures short-sellers in right before price reverses hard and rallies back above the level, forcing those shorts to buy back at a loss and fueling the reversal even further.

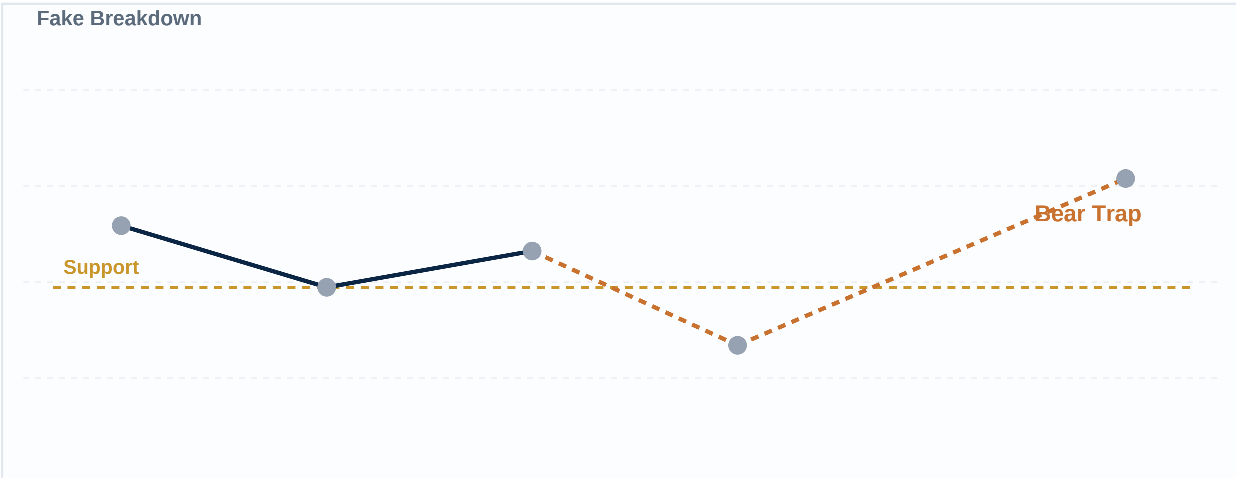


Figure — Price fakes a break below support, then reverses hard back above it.

09

CHAPTER 9

Candlesticks on Different Timeframes

Every candle you've studied so far has an unspoken assumption baked into it: a time period. A candle can represent one minute or one month — the shape rules are identical, but what the shape means to a trader changes enormously depending on which timeframe you're looking at.

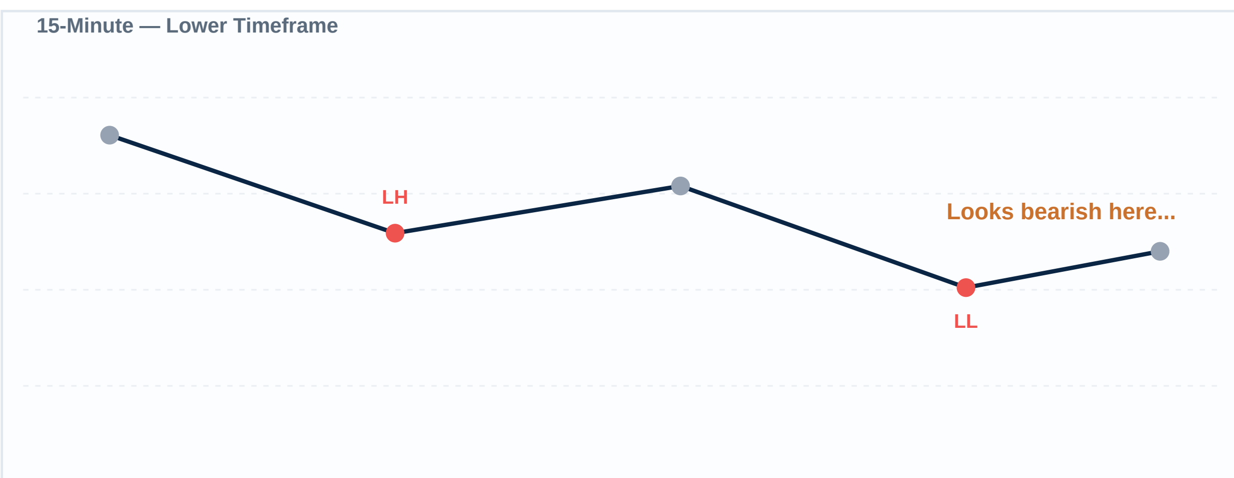
TIMEFRAME	WHAT IT'S FOR
1 Minute	Pure execution speed. Extremely noisy — most "patterns" here are just randomness. Useful only for fine-tuning the exact second of an entry you already decided on elsewhere.
3 Minute	Slightly smoother than the 1-minute, still dominated by noise. Common on fast HFX execution platforms, rarely useful alone.
5 Minute	One of the most common HFX / binary options execution timeframes — enough candles to see short-term structure, still fast enough for short-expiry trading.
10 Minute	A middle ground between the 5-Minute and 15-Minute — a little smoother and less noisy, while still fast enough for active short-expiry execution.
15 Minute	A short-term momentum view. Enough data to see a real trend and real support/resistance, while still updating quickly.
30 Minute	A session-level view — useful for seeing how price has behaved across a single trading session (e.g. the London or New York session).
1 Hour	A solid intraday trend reference. Many day traders use the 1-Hour chart as their primary "what's the trend right now" check before dropping to a lower timeframe to execute.
4 Hour	A swing-level structure view. Higher Highs and Higher Lows here represent moves that can last days, not minutes.
Daily	The primary trend reference for most retail traders. Support, resistance, and structure on the Daily chart tend to matter more than the same levels on any lower timeframe.
Weekly	Major structural trend. Levels here can hold for months and are watched closely by larger, longer-term participants.

Monthly	Multi-year structural context — mainly relevant to macro and position traders. Rarely needed for HFX or binary options execution, but useful for understanding "the big picture."

Higher Timeframe Controls Lower Timeframe

Here is the single most important idea in this chapter: whatever the higher timeframe is doing outranks whatever the lower timeframe is doing. A lower-timeframe chart can show a convincing-looking CHoCH or even a full reversal — and it can still just be a pullback once you zoom out. When your timeframes disagree, the higher timeframe wins.

The Daily chart shows a clean, healthy uptrend.



...but this entire panel is just the pullback leg between the Daily HH and HL above — zoom out before you trust it.

10

CHAPTER 10

The OneWay FX Candlestick Strategy

Everything in this book compresses into one repeatable checklist. It won't make every trade a winner — nothing does — but it will keep you from taking the low-quality setups that cause most beginner losses. Run every trade idea through these eight questions, in order, before you risk a single dollar.

1. What's the trend?

Check Chapter 1's structure first: Higher Highs and Higher Lows, Lower Highs and Lower Lows, or a range? Only take reversal patterns at the end of a trend, and continuation patterns with the trend.

2. Is there a support or resistance level here?

Check Chapter 2: is price at a horizontal level, a dynamic trendline, or a psychological round number? No level nearby is a reason to keep waiting.

3. Is there an actual candlestick pattern?

From Volume I or Chapter 5: has price formed a recognizable pattern at this level, or are you just hoping one is about to appear?

4. Has it been confirmed?

Per Chapter 4: has the next candle closed in the expected direction? Don't front-run the confirmation.

5. Is the risk/reward worth it?

Compare the distance from your entry to your stop loss against the distance from your entry to your target. A poor risk/reward isn't worth taking even when everything else lines up.

6. Define your entry.

Decide the exact price or condition you'll enter at — before you're in the trade, not after.

7. Define your stop loss.

Set the price that proves the setup was wrong, based on the structure itself (just beyond the pattern's high or low) — not on how much you feel like risking.

8. Define your take profit.

Set a realistic target — often the next meaningful support or resistance level — before you enter, so it isn't an emotional decision made mid-trade.

Putting It Together

Here's what the checklist looks like on an actual setup: a Hammer forms inside a support zone. The entry sits just above the Hammer's close, the stop sits just below the zone, and the target sits at the next meaningful resistance level — every number decided before the trade, not during it.

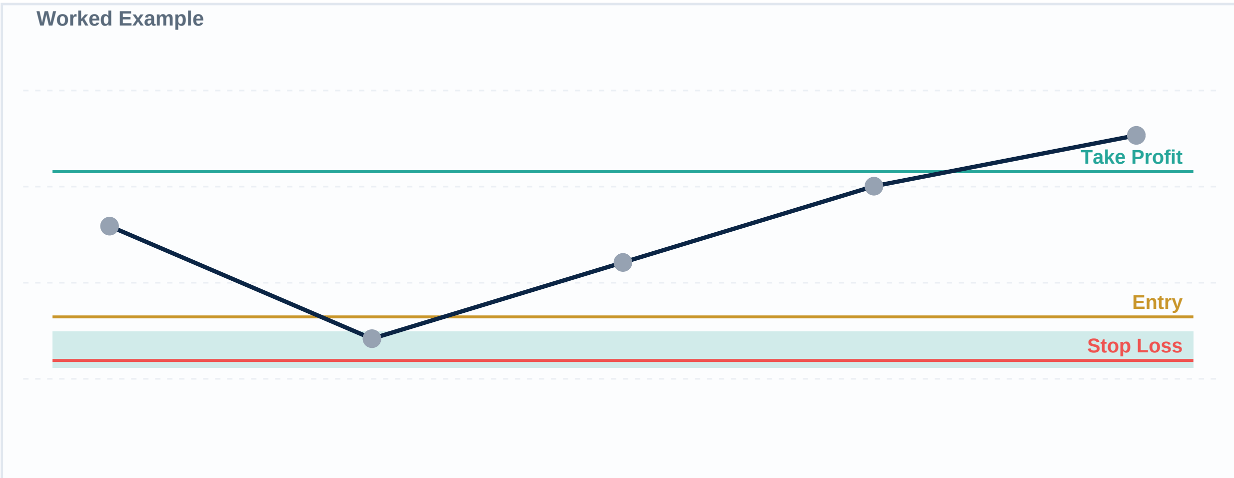


Figure — Entry, Stop Loss, and Take Profit, all defined before the trade.

CHAPTER 11

11 Trade Case Studies

The examples in this chapter are illustrative teaching diagrams, not real historical charts or actual trades. Each one pairs a common mistake with the disciplined version of the same decision, using the ideas from every chapter before this one. Read each pair and try to spot which rule from Chapter 12 it connects to before you turn the page.

Case 1 — Chasing the Candle

BAD TRADE A trader sees a big bullish candle already three-quarters formed and jumps in mid-candle out of fear of missing out — no confirmation, no plan.

GOOD TRADE A trader sees the same candle, waits for it to close, waits for the next candle to confirm, and enters with a clear stop below the recent low.

Lesson — *Chasing a candle mid-formation means you have no idea yet whether it will hold — you're buying a story that hasn't finished being written.*

Case 2 — Buying Into Resistance

BAD TRADE Price rallies into a well-tested resistance level and a trader buys anyway because "it looks strong," ignoring Chapter 2 entirely.

GOOD TRADE A trader recognizes the same resistance level, waits to see whether price breaks and holds above it or gets rejected, and only acts on whichever outcome actually happens.

Lesson — *Never buy into resistance or sell into support — Chapter 12's first rule exists because of exactly this mistake.*

Case 3 — No Stop Loss

BAD TRADE A trader enters with no predefined stop loss "because this one will definitely work," and the trade moves steadily against them with no exit plan.

GOOD TRADE A trader defines a stop loss before entering, sized to a specific invalidation point in the structure, and exits immediately and unemotionally when it's hit.

Lesson — *A stop loss isn't pessimism — it's simply the price at which your original idea is proven wrong.*

Case 4 — Oversized Risk

BAD TRADE A trader risks 20% of their account on a single "can't miss" setup.

GOOD TRADE A trader risks 1–2% of their account on the same setup, sized so that even a string of losses can't meaningfully damage the account.

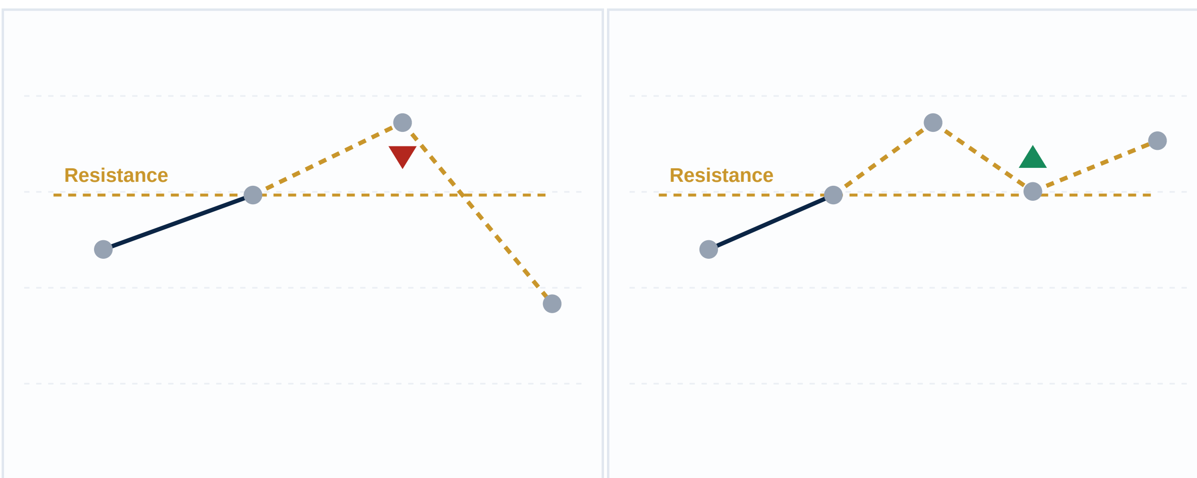
Lesson — *Position size determines how many mistakes you're allowed to make before you're out of the game — keep that number high.*

Case 5 — Trading a Fake Breakout

BAD TRADE Price breaks above resistance and a trader buys the breakout candle immediately, only to watch price reverse back below the level minutes later — a textbook bull trap.

GOOD TRADE A trader waits for price to retest the broken level from above and hold before entering — missing the very top of the move but avoiding the trap entirely.

Lesson — *The retest costs you some of the move, but it's the difference between trading the breakout and being trapped by it.*



Bad — bought the breakout candle directly. *Good — waited for the retest to hold.*

Case 6 — Ignoring the News Calendar

BAD TRADE A trader takes a textbook Hammer signal two minutes before a major interest rate announcement, and the resulting volatility spike stops them out for reasons that had nothing to do with the pattern.

GOOD TRADE A trader checks the calendar first, sees the announcement is imminent, and either waits until the volatility settles or sits the session out.

Lesson — *The best-looking pattern in the world can't survive being run over by a scheduled news event.*

Case 7 — Averaging Down Into a Downtrend

BAD TRADE A trader buys a falling instrument, watches it fall further, and adds size at each new low to "improve their average price," with no structural reason to believe the decline is over.

GOOD TRADE A trader waits for actual structure to shift — a Change of Character, then a Break of Structure — before considering a long position at all.

Lesson — *Adding to a losing position because it's cheaper isn't a strategy — it's hoping, and hope isn't confirmation.*

Case 8 — Trading Against a Strong Higher-Timeframe Trend

BAD TRADE A trader spots a bearish pattern on a 5-minute chart and shorts it, without checking that the Daily chart is in a powerful, well-established uptrend.

GOOD TRADE A trader checks the Daily trend first (Chapter 9), sees the strong uptrend, and either skips the short entirely or only takes bullish setups on the lower timeframe.

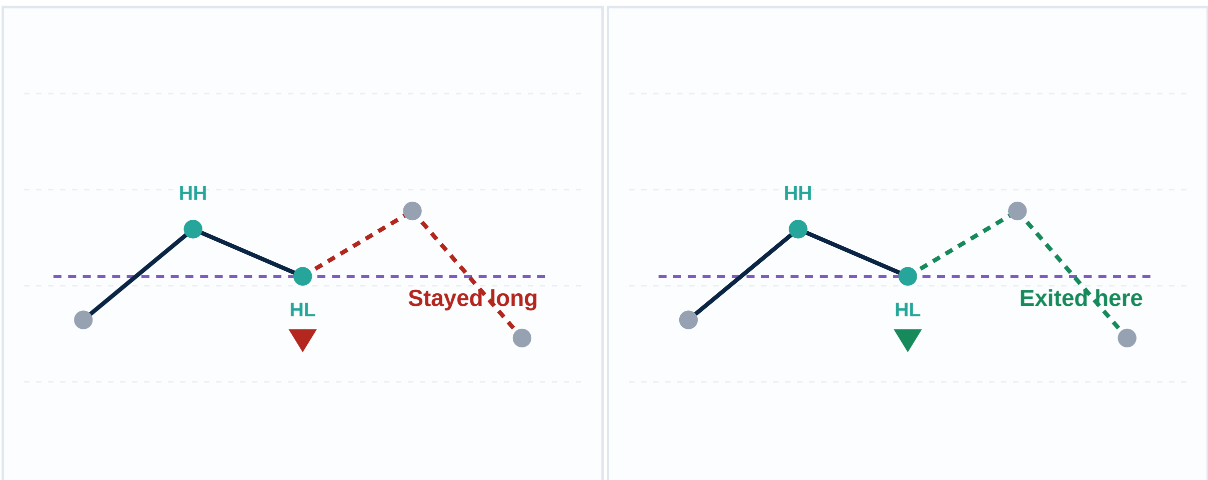
Lesson — *The higher timeframe controls the lower timeframe — fighting it is fighting the larger trend for a small, risky reward.*

Case 9 — Ignoring a Confirmed CHoCH

BAD TRADE A trader stays long through a clear Change of Character, telling themselves the uptrend "always comes back," and rides the position deep into what becomes a full reversal.

GOOD TRADE A trader treats the CHoCH as the early warning it is, exits or tightens the stop immediately, and waits for new structure to form before considering a new position.

Lesson — *A CHoCH doesn't guarantee a reversal, but it removes your right to assume the old trend is still safe.*



Bad — ignored the CHoCH and held on. *Good — treated the CHoCH as an exit signal.*

Case 10 — Moving the Stop Loss Further Away

BAD TRADE A trade moves against a trader, and instead of accepting the loss, they drag their stop loss further away "to give it more room," turning a small planned loss into a large unplanned one.

GOOD TRADE A trader honors the original stop loss exactly where the structure said it should be, takes the small loss, and moves on to the next setup with capital intact.

Lesson — *Moving your stop to avoid being wrong doesn't change whether you were wrong — it only changes how much it costs to find out.*

Case 11 — Trading the Pattern Alone

BAD TRADE A trader takes a Doji purely because "Doji means reversal," with no trend context, no level, and no confirmation behind it.

GOOD TRADE A trader waits until that same Doji forms at a tested support level with a strong confirming candle behind it — turning a four-star pattern into a genuinely tradeable setup (Chapter 7).

Lesson — *The pattern is the least important ingredient in a good trade — context is what does most of the work.*

Case 12 — Revenge Trading After a Loss

BAD TRADE A trader takes a loss, immediately re-enters a lower-quality version of the same trade to "win it back," and compounds the damage.

GOOD TRADE A trader takes the loss, steps away for the session if needed, and returns only once they can evaluate the next setup on its own merits.

Lesson — *The market doesn't know or care that you're trying to get even — trading emotionally after a loss is how one bad trade becomes three.*

12

CHAPTER 12

Candlestick Trading Rules

Every idea in this book eventually compresses into a short list of rules you can recall in the middle of a live trade, when you don't have time to re-read a chapter. These are the OneWay FX rules — pin them somewhere you'll actually see them.

1. Never chase candles.

If you didn't plan the entry before the candle formed, you're reacting, not trading — go back to Chapter 10's checklist instead.

2. Wait for candle close.

A candle can look like anything mid-formation. Only a closed candle has actually told you who won.

3. Never buy into resistance.

Even a perfect bullish pattern is fighting the level, not just the trend, if it forms right under resistance.

4. Never sell into support.

The mirror rule — a bearish pattern at support is fighting a level that has already proven it can hold.

5. Always know the trend.

Chapter 1 comes before every other chapter for a reason: direction changes what every pattern means.

6. Risk only 1–2% per trade.

Position size is the one variable you fully control — keep it small enough that a losing streak can't end your account.

7. Don't trade emotionally.

Revenge trades, FOMO entries, and moved stop losses are all the same mistake wearing a different outfit — see Chapter 11.

8. Follow your trading plan.

A plan you abandon under pressure was never really a plan — it was a suggestion you agreed with in advance.

REFERENCE

Glossary of Terms

Seventy-five intermediate and advanced terms used across this volume, many drawn from modern market-structure and smart-money-concept vocabulary. If a term from Chapters 1, 2, or 9 sent you looking for a definition, it's here.

Break of Structure (BOS) — Price breaking through the most recent significant swing high or low in the direction of the existing trend, confirming the trend is still in control.

Change of Character (CHoCH) — Price breaking structure against the prevailing trend for the first time, often the earliest sign a reversal may be starting.

Liquidity — The pool of resting buy and sell orders sitting at a price level; more liquidity makes it easier to enter or exit a position without moving price.

Liquidity Grab — A sharp move into a level known to hold a cluster of orders — such as stop losses — designed to trigger them before price reverses.

Liquidity Sweep — Price briefly pushing past a recent high or low to trigger resting orders there before snapping back the other way — closely related to a liquidity grab.

Supply Zone — A price area where selling pressure has previously overwhelmed buyers — similar to a resistance zone, but referring to the order cluster behind it.

Demand Zone — A price area where buying pressure has previously overwhelmed sellers — similar to a support zone, but referring to the order cluster behind it.

Mitigation — When price returns to an order block or zone and the orders left behind are finally filled, "mitigating" the unfinished business at that level.

Order Block — The last opposing candle before a strong, decisive move, believed to mark where large institutional orders were placed.

Fair Value Gap (FVG) — A gap left between candles by a fast, one-directional move, which price often returns to "fill" before continuing.

Premium — The upper portion of a recent price range, generally considered an area to look for selling rather than buying.

Discount — The lower portion of a recent price range, generally considered an area to look for buying rather than selling.

Imbalance — A general term for an area on the chart where buying and selling were not evenly matched, often visible as a Fair Value Gap.

Displacement — A strong, fast, decisive move that shows one side of the market taking clear control, often leaving a Fair Value Gap behind it.

Rejection — A sharp reversal away from a price level, usually shown by a long wick, signaling that side of the market was firmly turned back.

Continuation — Price resuming its prior trend after a pause, rather than reversing.

Exhaustion — A sign that a trend has run out of momentum, often shown by shrinking candle bodies or a failure to make further progress.

Compression — Price action tightening into a smaller and smaller range, often building up energy for a larger move.

Consolidation — A period where price moves sideways within a range rather than trending.

Expansion — A sudden increase in range and volatility after a period of compression.

Volatility — How much and how quickly price moves over a given period.

Momentum — The speed and strength of a price move in one direction.

Confluence — Multiple independent signals — a pattern, a level, a trend, an indicator — lining up at the same price at the same time, strengthening the case for a trade.

Pullback — A short, temporary move against the prevailing trend before the trend resumes.

Retracement — A partial reversal within a larger trend, typically measured as a percentage of the prior move.

Impulse Move — A strong, fast move in the direction of the trend, usually the "legs" of a larger structure.

Correction — A broader pullback within a trend — larger and more drawn-out than a simple retracement.

Trendline — A line drawn along a series of swing highs or swing lows to visualize the slope of a trend.

Channel — A pair of parallel trendlines containing price, one acting as dynamic support and the other as dynamic resistance.

Mean Reversion — The tendency of price to eventually move back toward its average after stretching unusually far away from it.

Session High — The highest price traded during a specific trading session, such as the Asian, London, or New York session.

Session Low — The lowest price traded during a specific trading session.

Daily High — The highest price traded during the current trading day.

Daily Low — The lowest price traded during the current trading day.

Previous Day High — The prior day's high, often watched as a short-term support/resistance reference.

Previous Day Low — The prior day's low, often watched as a short-term support/resistance reference.

Asian Range — The high-to-low price range formed during the Asian trading session, often used as a reference for the more volatile sessions that follow.

London Open — The start of the London trading session, one of the most active windows in the FX trading day.

New York Open — The start of the New York trading session, which overlaps with London and often brings the day's highest volume.

Kill Zone — A specific window of time — such as the London Open or New York Open — when a particular market is expected to see its most significant, high-probability moves.

Stop Hunt — A move designed to trigger a cluster of stop-loss orders resting just beyond an obvious high or low before reversing — closely related to a liquidity grab.

Swing High — A candle or price point with lower highs on both sides of it, marking a local turning point to the downside.

Swing Low — A candle or price point with higher lows on both sides of it, marking a local turning point to the upside.

Internal Structure — The smaller swing highs and lows that form on a lower timeframe inside a larger, higher-timeframe structural move.

External Structure — The major swing highs and lows that define the higher-timeframe trend itself.

Higher Timeframe (HTF) — A longer-period chart — such as the Daily or 4-Hour — used to establish the dominant trend and context.

Lower Timeframe (LTF) — A shorter-period chart — such as the 5-Minute or 15-Minute — used to fine-tune entries within the higher timeframe's direction.

Multi-Timeframe Analysis (MTF) — The practice of checking several different timeframes together before taking a trade, rather than relying on just one.

Top-Down Analysis — Starting from the highest relevant timeframe to establish trend and bias, then working down to lower timeframes to time the entry.

Accumulation — A phase where large participants quietly build a position, often marked by sideways, range-bound price action.

Distribution — A phase where large participants quietly sell off a position, often marked by sideways price action at the top of a move.

Markup — The phase of a market cycle where price trends strongly higher after accumulation.

Markdown — The phase of a market cycle where price trends strongly lower after distribution.

Smart Money — A general term for large, well-informed, well-capitalized market participants — institutions, banks, large funds — believed to move price more deliberately than retail traders.

Retail Trap — A setup that looks attractive to everyday retail traders but is designed, or happens, to catch them on the wrong side of the move.

Bull Trap — A fake breakout above resistance that lures buyers in before price reverses sharply lower.

Bear Trap — A fake breakdown below support that lures sellers in before price reverses sharply higher.

Inducement — A minor move designed to draw in early entries or trigger stop losses before the real move happens in the opposite direction.

Equal Highs (EQH) — Two or more swing highs sitting at almost exactly the same price, often marking a liquidity target above the market.

Equal Lows (EQL) — Two or more swing lows sitting at almost exactly the same price, often marking a liquidity target below the market.

Liquidity Pool — A cluster of resting orders, often stop losses, built up around equal highs, equal lows, or other obvious levels.

Point of Interest (POI) — A specific price area a trader is watching for a potential reaction, such as an order block, supply/demand zone, or Fair Value Gap.

Institutional Candle — A single candle with an unusually large range or body relative to recent candles, suggesting large-size participation.

Wick Rejection — A long wick showing that price was pushed to an extreme and firmly rejected before the candle closed.

Range Expansion — A sudden increase in the size of candle ranges, often signaling the start of a stronger directional move.

Volatility Contraction — A period where candle ranges shrink and price moves less, often preceding a breakout.

Breakout Retest — Price returning to a broken support or resistance level to test whether it will now act as the opposite (see Role Reversal), before continuing.

Failure Swing — An attempted new high or low that fails to hold, often an early warning of a change in structure.

Spring — A brief false break below a trading range's support (a Wyckoff term) that quickly reverses, often marking the real start of a move higher.

Upthrust — A brief false break above a trading range's resistance (a Wyckoff term) that quickly reverses, often marking the real start of a move lower.

Risk-to-Reward Ratio (R:R) — The size of your potential loss compared to your potential gain on a trade, usually expressed as a ratio like 1:2 or 1:3.

Position Sizing — Deciding how large a trade to take, usually based on your account size and how much you're willing to risk.

Drawdown — The decline in your account balance from a recent peak, typically measured as a percentage.

Win Rate — The percentage of your trades that end as winners, often less important on its own than your risk-to-reward ratio.

Expectancy — The average amount you can expect to make or lose per trade over the long run, combining your win rate and your risk-to-reward ratio into a single number.

CLOSING NOTE

From the OneWay FX Team

You now have both halves of the picture: Volume I's fourteen candlestick patterns and the deeper toolkit in this book — structure, levels, psychology, confirmation, twelve more patterns, reliability, combinations, fakes, timeframes, a repeatable strategy, and a set of rules to hold yourself to. None of it replaces the other; a candlestick pattern is still the trigger, and everything in this volume is what tells you whether that trigger is worth pulling.

Trade what you can prove on the chart, size every position like the next ten trades matter more than this one, and let the process — not any single trade — be the thing you're proud of.

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